

Question #1 of 126

Question ID: 1472542

The Herlitzka Company, a U.S. multinational firm, has a 100 percent stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The remeasured value of accounts receivable and inventory respectively are *closest* to:

A) \$1,845 and \$2,401.



B) \$1,771 and \$2,361.



C) \$1,845 and \$2,361.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the USD is the functional currency, use the temporal method. Under the temporal method, inventory is remeasured using the historical rate. However, our best guess of the historical rate under the weighted average inventory cost-flow assumption is the average rate through the period. Hence, $A/R = \$0.615 \times 3,000 = \$1,845$ and $Inventory = \$0.6002 \times 4,000 = \$2,401$.

(Module 10.6, LOS 10.f)

Question #2 of 126

Question ID: 1472567

The nation of Deadoa is experiencing hyperinflation. A subsidiary of a multinational operating in Deadoa will notice changes in its purchasing power and in its financial results as reported on its parent company's financial statements. Which of the following best describes the situation for a subsidiary operating in Deadoa? Purchasing power will:

- A) dramatically appreciate and the local currency will be rapidly appreciating against the presentation currency. 
- B) quickly deteriorate and the local currency will be rapidly appreciating against the presentation currency. 
- C) quickly deteriorate and the local currency will be rapidly depreciating against the presentation currency. 

Explanation

Purchasing power *and* Deadoa currency will depreciate.

(Module 10.7, LOS 10.g)

Question #3 of 126

Question ID: 1472509

Each of the following items is considered a *monetary* asset or liability account under the temporal method for foreign currency translation *EXCEPT*:

- A) long-term debt. 
- B) inventory. 
- C) accounts payable. 

Explanation

The monetary asset and liability accounts under the temporal method are cash, accounts receivable, accounts payable, and long-term debt.

(Module 10.3, LOS 10.e)

Question #4 of 126

Question ID: 1472507

Which of the following currency translation methods is *most* appropriate in a hyperinflationary economy under US GAAP? The:

- A) current rate method since the translation gain or loss is shown on the income statement. 
- B) current/non-current method since current assets and liabilities are translated at the current exchange rate. 
- C) temporal method because all non-monetary accounts are translated at the historical rate. 

Explanation

The temporal rate method is most appropriate because the value of non-monetary assets and liabilities is translated at the historical rate. Under IFRS, the firm restates the financials using an inflation index, and then translates using the current rate method.

(Module 10.3, LOS 10.e)

Scud Co. is a Swiss subsidiary of the U.S. firm Patriot, Inc. On December 31, 20X7 the \$/SF exchange rate was 0.77. Assume that this is the historical rate, except as noted below. One year later the Swiss Franc had appreciated to 0.85 \$/SF. Scud Co. pays no dividends. The average exchange rate for the year was 0.80 \$/SF. Scud pays no taxes. Assume that Scud uses a periodic inventory system and that inventory is accounted for using the LIFO inventory assumption, was bought and sold evenly throughout the year.

Scud Co. Int'l		
Balance Sheet (in SF thousands)		
	Dec. 31, 20X7	Dec. 31, 20X8
Cash & A/R	400	600
Inventory	500	500
Net Fixed Assets	<u>700</u>	<u>600</u>

Total Assets	1,600	1,700
A/P	100	200
Long-term debt	200	100
Common Stock	1,300	1,300
Retained Earnings	<u>0</u>	<u>100</u>
Total Liabilities	1,600	1,700

Income Statement (in SF thousands)	
December 31, 20X8	
	In SF
Sales	7,000
COGS	(6,800)
Depreciation	<u>(100)</u>
Remeasurement Gain/Loss	--
Net Income	100

Assume that the functional currency is the U.S. dollar when answering the following questions.

Question #5 - 8 of 126

Question ID: 1586118

Assuming closing retained earnings for the year 20X8 was \$110, the translation gain on the income statement would be:

- A) \$17.
- B) \$0.
- C) \$27.



Explanation

We need to complete our remeasurement of the income statement. Since beginning retained earnings for the year were zero, we know that net income on the remeasured income must be equal to ending retained earnings. The remeasurement gain or loss is the plug figure that causes this to be the case.

Income (in SF thousands) December 31, 20X8

		\$'000
Sales	$7,000 \times 0.80$	5,600
COGS	Working 1	(<u>5,440</u>)
Gross Profit		160
Depreciation	100×0.77	(77)
Remeasurement gain (plug)		<u>27</u>
Net Income		110

Working 1 COGS (LIFO) SF\$/SF\$ Beginning inventory 5000.77 385 Purchases (plug) 6,800 0.85, 440 Ending inventory (500) 0.77 (385) Cost of goods sold 6,800 5,440

Note that the amount of inventory did not change in the period. Given that the firm uses a periodic inventory system and LIFO, the same purchases would be included in both beginning and ending inventory and therefore the same historic exchange rate is applied to both. Purchases were made evenly throughout the period and therefore the average rate has been applied.

(Module 10.6, LOS 10.f)

Question #6 - 8 of 126

Question ID: 1586119

The level of net fixed assets on the remeasured 20X8 balance sheet would be:

- A) \$510.
- B) \$462.
- C) \$480.



Explanation

Net fixed assets are considered non-monetary assets. For non-monetary assets, the temporal method uses the historical rate: $600\text{SF} \times 0.77\text{\$/SF} = \$462$.

(Module 10.4, LOS 10.e)

Question #7 - 8 of 126

Question ID: 1586120

The level of retained earnings on the remeasured 20X8 balance sheet would be:

- A) \$101.
- B) \$85.
- C) \$305.



Explanation

To get this value, we need to finish remeasuring our balance sheet at the appropriate rates. The retained earnings figure will be what makes the balance sheet balance.

Scud Co. Int'l		
Balance Sheet (in SF thousands)		
	Dec. 31, 20X8	Remeasured \$
Cash & A/R	$600 \times 0.85 =$	510
Inventory	$500 \times 0.77 =$	385
Net Fixed Assets	$600 \times 0.77 =$	462
Total Assets	1,700	1,357
A/P	$200 \times 0.85 =$	170
Long-term debt	$100 \times 0.85 =$	85
Common Stock	$1,300 \times 0.77 =$	1001
Retained Earnings	100	101
Total Liabilities and Owner's Equity	1,700	1,357

(Module 10.4, LOS 10.e)

Question #8 - 8 of 126

Question ID: 1586121

As compared to the local currency ratio, fixed asset turnover in the reporting currency would *most likely* be:

- A) higher.
- B) lower.
- C) the same.



Explanation

Fixed asset turnover is calculated as sales / average fixed assets. The numerator is translated at the average rate during the year (\$0.80/SF) while fixed assets are translated at historical rate (\$0.77/SF). Hence the reporting currency numerator will be higher resulting in a higher fixed-asset turnover ratio.

(Module 10.4, LOS 10.e)

Walter Jameson, CFA[®], is an analyst for Continental Corp., a global investment bank. Jameson has been assigned coverage of Wasson Brothers (WB), a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. Jameson has completed his review of the firm's U.S. operations, but his research report is due at the end of the week and he has yet to assess the impact of Wasson's foreign subsidiaries on his earnings model.

One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan and manufactures a hugely successful line of trading cards, toys, and other related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in yen/\$.

Yen/Dollar Exchange Rate	
December 31, 2002	150
December 31, 2001	130
2002 Average	140
2001 Average	120
Exchange rate on date that 2002 dividends were declared (payable to Wasson Brothers)	145
Exchange rate on date of stock issue and acquisition of fixed assets	100

Kasamatsu Industries Financial Data (12/31/02)			
	Yen (in thousands)	Exchange Rate	U.S. Dollars (in thousands)

Sales	700,000		
COGS	280,000		
Depreciation	126,000		
SG & A	77,000		
Income Tax Expense	98,000		
Net Income	119,000		
2001 Retained Earnings	0		
Dividends	58,000		
2002 Retained Earnings	61,000		
Current Assets	50,000		
Fixed Assets	486,000		
Current Liabilities	46,000		
Long Term Debt	254,000		
Capital Stock	175,000		
Accumulated Translation Adjustment			

Question #9 - 12 of 126

Question ID: 1586103

The first step in Jameson's analysis is to compute Kasamatsu's impact on WB's net income.

What is Kasamatsu's impact on WB's net income (in thousands dollars)?

A) \$821.



B) \$793.



C) \$850.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Because Kasamatsu is a wholly owned subsidiary of WB, all of its net income will be included in WB's. Kasamatsu's local currency is also the functional currency, so the current rate method should be used to translate the financial statements into U.S. dollars. The appropriate exchange rate to use would be the average exchange rate for 2002, and no adjustment needs to be made for the dividend. The calculation is:

$$119,000 / 140 = 850$$

Therefore, WB will report an additional \$850,000 of net income as a result of their subsidiary's operating results. Both remaining answers use incorrect exchange rates.

(Module 10.6, LOS 10.f)

Question #10 - 12 of 126

Question ID: 1586104

Jameson now computes the adjustment to WB's financial data due to Kasamatsu's payment of dividends. What is the U.S. dollar amount of this adjustment (in thousands)?

A) \$400.



B) \$414.



C) \$446.



Explanation

WB receives a cash dividend from their subsidiary. This dividend must be translated at the prevailing exchange rate on the date the dividend is declared (145/\$). $\$58,000 / 145 = 400$. Both remaining answers use incorrect exchange rates.

(Module 10.4, LOS 10.e)

Question #11 - 12 of 126

Question ID: 1586105

The carrying value of Kasamatsu's total assets on December 31, 2002, using the current rate method of accounting for translations is:

A) \$2,938.



B) \$3,573.



C) \$3,240.



Explanation

Under the current rate method, all balance sheet accounts, with the exception of equity, are translated at the current rate. At the current rate of 150 under the current rate method, the amount is: $(486,000 + 50,000) / 150 = \$3,573$.

(Module 10.4, LOS 10.e)

Question #12 - 12 of 126

Question ID: 1586106

Having converted all of Kasamatsu's accounts using the current rate methods, Jameson is curious to compare the difference between the temporal and current rate methods on balance sheet accounts. The difference in translated fixed assets and long term debt respectively if Jameson were to use the temporal method rather than the current rate method is:

	<u>Fixed Assets</u>	<u>Long-Term Debt</u>	
A) \$0	\$0		
B) \$1620	\$0		
C) \$1620	\$121		

Explanation

Fixed assets under the temporal method, are reported at historical translation rates. $486,000 / 100 = \$4,860$. Under current rate, fixed assets are translated at the current rate $(486,000 / 150) = \$3,240$, a difference of \$1,620.

Even though it is a balance sheet account, under the temporal method, long term debt is considered a monetary liability and is translated at the current rate. Under the current rate method, long-term debt is also translated at the current rate, so the difference between the two methods is \$0.

(Module 10.4, LOS 10.e)

Question #13 of 126

Question ID: 1472533

An important distinction between the temporal method and the current rate method is that:

- the current rate method results in an adjustment to the equity account on the
- A)** balance sheet. The temporal method results in a gain or loss appearing on the income statement. 
- depreciation and cost of goods sold (COGS) are a function of the current rate
- B)** under translation (current rate method), but a function of the average rate under remeasurement (temporal method). 
- monetary assets and liabilities are remeasured (temporal method) at historical
- C)** rates but translated (current rate method) at current rates. 

Explanation

The current rate method results in an adjustment to the equity account on the balance sheet. The temporal method results in a gain or loss appearing on the income statement. Depreciation and COGS are a function of the average rate under the current rate method, but a function of the historical rate under the temporal method. Monetary assets and liabilities are use the current rates under both methods.

(Module 10.4, LOS 10.e)

Question #14 of 126

Question ID: 1472556

Which of the following statements is *most* accurate concerning foreign currency translation?

- A)** The receivables turnover ratio is identical under both the temporal method and the current rate method. 
- B)** In the case of an appreciating currency, the fixed asset turnover will be lower under the temporal method, as compared to the current rate method. 
- In the case in which a firm uses first in, first out (FIFO) inventory valuation, if the
- C)** local currency depreciates the cost of good sold under the temporal method is less than the cost of goods sold using the current rate method. 

Explanation

The receivables turnover (sales / receivables) is unaffected because both methods translate sales at the average rate and accounts receivable at the current rate.

When using FIFO and the temporal method we assume that the appropriate rates to use for cost of goods sold (COGS) are the older historical rates. The average rate is used for COGS under the current rate method. If the local currency depreciates, COGS would be higher under the temporal method.

With an appreciating currency the fixed asset turnover ratio (sales / fixed assets) will be higher using the temporal method because the temporal method uses the historical rate for fixed assets whereas the current rate method uses the current rate. They both use the same average rate for sales.

(Module 10.6, LOS 10.f)

Question #15 of 126

Question ID: 1482619

The Schuldes Company had the following reported assets in euros at historical cost for the period ending December 31, 2005.

Cash	134
Accounts receivable	270
Inventory	404
Net fixed assets	<u>1347</u>
Total assets	2155

The exchange rate per euro was \$0.8734 on January 1, 2005 and \$0.9896 on December 31, 2005. The average exchange rate for the year 2005 was \$0.8925. The total assets of Schuldes using the current rate method are:

A) \$1,923.



B) \$2,133.



C) \$2,178.



Explanation

With the current rate method all balance sheet items except common stock use the current exchange rate to translate the functional currency into the reporting currency.

$$2155 \times \$0.9896 = \$2,133.$$

(Module 10.6, LOS 10.f)

Question #16 of 126

Question ID: 1472546

Which of the following ratios is affected by translation under the current rate method?

- A) Fixed asset turnover ratio.
- B) Net profit margin.
- C) Debt/Assets ratio.



Explanation

Recall that all pure income statements and balance sheet ratios are unaffected by translation under the current rate method. The fixed asset turnover ratio is not a pure ratio; it consists of an income statement measure (sales, translated at the average rate) and a balance sheet measure (fixed assets, translated at the current rate).

(Module 10.6, LOS 10.f)

Question #17 of 126

Question ID: 1472527

Which of the following general statements is *most* accurate with respect to the current rate method? Revenues:

- A) and operating expenses are translated at the average rate.
- B) are translated at the average rate while operating expenses are translated at the current rate.
- C) and operating expenses are translated at the current rate.



Explanation

As a general rule for the current rate method, all revenues and operating expenses are translated using the average rate.

(Module 10.4, LOS 10.e)

Question #18 of 126

Question ID: 1472504

Under the temporal method, the inventory and cost of goods sold (COGS) accounts are both nonmonetary accounts. Which of the following statements is *least* accurate regarding these accounts?

- A) If the firm accounts for inventory using last in, first out (LIFO), then the beginning-of-period rate is used to remeasure COGS. 
- B) The Inventory account is remeasured using the historical rate under both LIFO and FIFO. 
- C) If the firm accounts for inventory using first in, first out (FIFO), then a more recent rate will be applied to the inventory account. 

Explanation

Under LIFO, the last goods purchased are the first goods out to COGS. Hence, although technically the *historical rate* is used to remeasure COGS, a more recent rate is typically more appropriate for COGS under LIFO.

(Module 10.3, LOS 10.e)

Giant Company is a U.S. Company with a subsidiary, Grande, Inc., that operates in Mexico. Giant Company uses either the temporal or the current rate method of foreign currency translation for its subsidiaries.

- Grande, Inc., began operations January 1, 2012.
- Common Stock and Fixed Assets were acquired January 1, 2011.
- Inventory is accounted for under the last in, first out (LIFO) cost flow assumption, with a slow rate of turnover.
- The beginning *U.S. dollar* value of Giant's retained earnings was \$2,600,000.
- The inventory in the January 1, 2012, Balance Sheet was acquired on January 1, 2012.

Exchange Rates were:	January 1, 2011	\$0.14/peso
	January 1, 2012	\$0.12/peso
	June 30, 2012	\$0.11/peso (this is the 2012 average rate)
	December 31, 2012	\$0.10/peso

	Grande, Inc.	
	Balance Sheet (in M Pesos)	
	Jan. 1, 2012	Dec. 31, 2012
Cash	5,000,000	20,000,000
Accounts Receivable (A/R)	20,000,000	35,000,000
Inventory	15,000,000	15,000,000

Fixed Assets (net)	90,000,000	60,000,000
Accounts Payable (A/P)	10,000,000	10,000,000
Long Term Debt	40,000,000	35,000,000
Common Stock	80,000,000	80,000,000
Retained Earnings		5,000,000

2012 Income Statement	
(in Pesos)	
Sales	60,000,000
Cost of Goods Sold (COGS)	(45,000,000)
Depreciation	<u>(10,000,000)</u>
Net Income	5,000,000

Assume that Giant Company considers the Mexican peso to be both the local currency and the functional currency of Grande, Inc.

Question #19 - 22 of 126

Question ID: 1586083

To reflect the results of Grande, Inc., in its financial statements, it would be *most* appropriate for Giant Company to use the:

- A)** current rate method followed by the temporal method.
- B)** temporal method.
- C)** current rate method.



Explanation

The current rate method is used when the Functional Currency is NOT the same as the Parent's Presentation (reporting) Currency. The temporal method is used when the Functional Currency = the Parent's Presentation Currency.

The current rate method is used when the local currency and functional currency are the same.

(Module 10.4, LOS 10.d)

Question #20 - 22 of 126

The Net Income of Grande, Inc., expressed in U.S. dollars for the year ended December 31, 2012, is *closest* to:

- A) \$250,000. 
- B) \$550,000. 
- C) \$500,000. 

Explanation

Using the current rate method, the income statement is translated using the average rate for all income statement accounts: Sales – COGS – Depreciation = Net Income. $(60,000,000 \times \$0.11) - (45,000,000 \times \$0.11) - (10,000,000 \times \$0.11) = \$550,000$.

(Module 10.4, LOS 10.d)

Question #21 - 22 of 126

Question ID: 1586085

The translation gain or loss from the activities of Grande, Inc., should be reported in the:

- A) income statement. 
- B) equity accounts. 
- C) statement of cash flows. 

Explanation

Under the current rate method, translation gains or losses are accumulated on the balance sheet in the equity section.

(Module 10.4, LOS 10.d)

Question #22 - 22 of 126

Question ID: 1586086

Compared to the current ratio before translation, the current ratio after translation is *most likely* to be:

- A) higher. 
- B) lower. 
- C) the same. 

Explanation

Translation of the local currency means the current rate method is applied. The current ratio is current assets divided by current liabilities. The current assets and the current liabilities are both translated at the current rate. This leads to the ratio remaining the same in terms of both the local currency and the presentation currency.

(Module 10.4, LOS 10.d)

Dell Air Lines has recently acquired Australian Puddle Jumpers, Inc., a small airline located in Sydney. The Australian dollar has been chosen by Dell as the functional currency for APJ. The Balance Sheet of APJ is given below as of Dec. 31, 2004 in Australian dollars.

Assets			Liabilities and Equity	
Cash	200		A/P	180
A/R	240		Common Stock	720
Maintenance Supplies	180			
Fixed Assets	<u>280</u>			
Total Assets	<u>900</u>		Total Liab & Equity	<u>900</u>

APJ's income statement for the year ending Dec. 31, 2005 is expressed in Australian dollars as:

Sales	3,500
Total Costs	<u>2,900</u>
Net Income	<u>600</u>

The Australian dollar has steadily depreciated against the U.S. dollar. At Dec. 31, 2004, the exchange rate was 2 Australian dollars = \$1 but at Dec. 31, 2005, the exchange rate had deteriorated to 3 Australian dollars = \$1.

The Dec. 31, 2005 Balance Sheet for APJ is given in Australian dollars as follows:

Assets			Liabilities and Equity	
Cash	441		A/P	210
A/R	330		Common Stock	720
Supplies	291		Retained Earnings	600
Fixed Assets	<u>468</u>			
Total Assets	<u>1,530</u>		Total Liab. & Equity	<u>1,530</u>

Question #23 - 26 of 126

Question ID: 1586133

On APJ's 2005 income statement, the level of net income in U.S. dollars would be:

- A) \$200.00.
- B) \$240.00.
- C) \$300.00.

**Explanation**

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the Australian dollar is both the local and the functional currency, use the current rate method. The items in the income statement are translated at the average exchange rate. The average rate is $(2 + 3) / 2 = 2.5$ Australian dollars = \$1.

(Module 10.6, LOS 10.f)

Question #24 - 26 of 126

Question ID: 1586134

On APJ's 2005 balance sheet, the level of common stock (not including retained earnings) in U.S. dollars would be:

- A) \$360.
- B) \$288.
- C) \$240.

**Explanation**

Since the Australian dollar is the local and the functional currency, use the current rate method.

In the balance sheet, all accounts are translated at the current exchange rate, except for the common stock account, which is translated at the historical rate.

$$\text{Common Stock } (720 / 2) = 360$$

(Module 10.4, LOS 10.e)

Question #25 - 26 of 126

Question ID: 1586135

On APJ's 2005 balance sheet, the foreign currency translation adjustment in U.S. dollars would be:

A) -\$220.



B) -\$160.



C) -\$280.



Explanation

Since the Australian dollar is both the local and the functional currency, use the current rate method.

When using the current rate method, all assets and liabilities are translated at the current rate. Total assets = $1530/3 = 510$ and accounts payable = $210/3 = 70$. The common stock is translated at the historical rate on the date of purchase = $720/2 = 360$. Beginning retained earnings = 0, so ending retained earnings = translated net income = 240. The cumulative translation adjustment is the plug figure that makes the balance sheet balance = $510 - 70 - 360 - 240 = -160$.

(Module 10.4, LOS 10.e)

Question #26 - 26 of 126

Question ID: 1586136

Which one of the following statements correctly describes the effect on Dell's financial statements if the U.S. dollar had been chosen as the functional currency?

A) The current rate method would apply.



B) The translation adjustment would appear as a line item on Dell's income statement.



C) The translation adjustment would appear as a line item on Dell's balance sheet.



Explanation

If the U.S. dollar had been chosen as the functional currency, then the provisions of the temporal method would apply. Under the temporal method, the translation adjustment would appear as a line item on Dell's income statement and not as an element of equity. Hence, earnings may become more volatile as a result.

(Module 10.4, LOS 10.e)

Question #27 of 126

Question ID: 1472528

Which of the following statements is *least* accurate regarding accounting for foreign currency translations? The:

- A) current rate method applies the current exchange rate to all balance sheet accounts. 
- B) current rate method applies the average exchange rate to all income statement accounts. 
- C) temporal method uses the historical exchange rate to translate non-monetary assets and liabilities into the currency of the country of the parent company. 

Explanation

The current rate method applies the current exchange rate to all balance sheet accounts except for common stock, *which is translated at a historical rate*.

(Module 10.4, LOS 10.e)

Question #28 of 126

Question ID: 1472526

Which of the following statements regarding the foreign currency translation under US GAAP is *least* accurate? The functional currency is the:

- A) subsidiary's local currency for self-contained, independent foreign subsidiaries. 
- B) parent firm's home currency for self-contained independent foreign subsidiaries. 
- C) parent firm's home currency if the foreign subsidiary operates in a country with high inflation. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

This statement is incorrect, both remaining statements are correct regarding rules that govern the determination of the functional currency of subsidiaries.

(Module 10.4, LOS 10.e)

Question #29 of 126

Question ID: 1472544

Portinta Inc, a U.S. based pharmaceutical company, has a UK based subsidiary, Medaze plc. The U.S. dollar has been appreciating relative to GBP over the past year. Using the current-rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the long-term debt to equity ratio relative to what the ratio would have been without the effects of translation?

A) The ratio will be the same.



B) The ratio will be lower.



C) The ratio will be higher.



Explanation

Under the current rate method, both LTD and equity are translated at the current rate of exchange. Hence, since the same rate is applied in both the numerator and denominator, the ratio will not change.

Note: When equity is broken out into separate accounts, common stock is taken at the historical rate. When taken as a whole, equity should be translated at the current rate. In this case we are not given any information on the common stock amount, so we translate equity at the current rate.

(Module 10.6, LOS 10.f)

Question #30 of 126

Question ID: 1472539

Regarding the different methods of consolidating foreign subsidiaries' operating results, it would be *most* accurate to state that:

A) under the temporal method, monetary assets and monetary liabilities are translated at a historical exchange rate.



B) under the current rate method, revenues and expenses are translated at the exchange rate that existed when the underlying transaction occurred.



C) under the current rate method, individual components of stockholder's equity are translated at the current exchange rates.



Explanation

Under the current rate method, revenues and expenses are translated at the exchange rate that existed when the underlying transaction occurred. (Though, for practical reasons, an average exchange rate is often used to translate income items.) Under the temporal method, monetary assets and monetary liabilities are translated at the current exchange rate. Under the current rate method, while shareholder's equity (as a whole, including CTA) is translated at the current rate, common stock is translated at historical exchange rate.

(Module 10.5, LOS 10.e)

Navratov Corp. is a designer and manufacturer of high end sporting goods. The majority of the firm's business comes from Olympic athletes from Russia and the United States. On January 1, 2003, Navratov was purchased by a U.S. competitor, Evert Industries. Because Evert's business focuses on professional athletes in North America and Asia, Evert's management feels the acquisition of Navratov is a natural extension of their business and that buying the Russian firm should generate economies of scale.

Peter Capriati is an analyst for Evert and has been assigned the task of integrating Navratov's financial statements into Evert's. Capriati knows that Evert's management pays a great deal of attention to making sure the firm's financial ratios are above the industry average. Because Navratov's sales are split evenly between the U.S. and Russia, management has given him the flexibility to designate the either the Ruble (Navratov's local currency) or the U.S. dollar (Evert's reporting currency) as Navratov's functional currency. As a result of choosing the functional currency, Capriati will use either the temporal or current rate method to convert Navratov's financial statements, depending on which method will have the most favorable impact on Evert's financial ratios.

Selected financial data for Navratov Corp is shown below:

Navratov Corporation Income Statement (in Russian Rubles) 12 months ended December 31, 2003	
Revenue	7,400,000
Cost of Goods Sold (COGS)	(5,200,000)
Depreciation	(1,200,000)
Taxes	(250,000)
Net Income	750,000

Navratov Corporation Balance Sheet (in Russian Rubles) December 31, 2002				
Assets			Liabilities and Equity	
Cash	500,000		Accounts Payable	3,450,000

Accounts Receivable	2,500,000		Long Term Debt	5,000,000
Inventory	3,700,000		Common Stock	3,500,000
Net Fixed Assets	6,000,000		Retained Earnings	750,000
Total Assets	12,700,000		Total Liabilities and Equity	12,700,000

Navratov Corporation Balance Sheet (in Russian Rubles) December 31, 2003				
Assets			Liabilities and Equity	
Cash	1,000,000		Accounts Payable	2,000,000
Accounts Receivable	2,500,000		Long Term Debt	5,000,000
Inventory	3,700,000		Common Stock	3,500,000
Net Fixed Assets	4,800,000		Retained Earnings	1,500,000
Total Assets	12,000,000		Total Liabilities and Equity	12,000,000

- Navratov Corp. did not pay dividends in 2003.
- The common stock was acquired on January 1, 2002.
- January 1, 2003 retained earnings in USD is \$300,000.
- Depreciation is being taken on a straight-line basis over ten years for equipment which was acquired on January 1, 2002, at a cost of 12,000,000 rubles.
- Navratov uses FIFO inventory accounting and goods were sold evenly throughout the year. The average rate applicable to inventory and COGS is \$0.37 / ruble.

Exchange rates:

- January 1, 2002, \$0.40 / ruble
- January 1, 2003, \$0.40 / ruble
- June 30, 2003, \$0.37 / ruble (avg. rate)
- December 31, 2003, \$0.33 / ruble

Which of the following statements about the temporal method and the current rate method is *least* accurate?

- A) Net income is generally more volatile under the temporal method than under the current rate method. 
- B) Subsidiaries that operate in highly inflationary environments will generally use the temporal method under U.S. GAAP. 
- C) Subsidiaries whose operations are well integrated with the parent will generally use the current rate method. 

Explanation

Subsidiaries whose operations are well integrated with the parent will generally use the parent's currency as the functional currency. Remeasurement from the local currency to the functional currency is done with the temporal method.

(Module 10.6, LOS 10.f)

Question #32 - 34 of 126

Question ID: 1586109

If Capriati uses the current rate method to translate Navratov's income statement, the net profit margin will be:

- A) 11.7%. 
- B) 8.6%. 
- C) 10.1%. 

Explanation

The net profit margin is a pure income statement ratio, meaning it will be unaffected by the application of the current rate method. The calculation is shown below:

Under the current rate method, all income statement accounts will be translated at the average rate.

Revenue	7,400,000	\$0.37	\$2,738,000
Cost of Goods Sold (COGS)	(5,200,000)	\$0.37	(1,924,000)
Depreciation	(1,200,000)	\$0.37	(444,000)
Taxes	(250,000)	\$0.37	(92,500)
Net Income	750,000	\$0.37	\$277,500

Note that under the current rate method, since all income statement accounts are translated at the same average rate, you do not have to translate the income statement to get the correct answer. $(750,000 / 7,400,000) = 10.1\%$.

(Module 10.4, LOS 10.e)

Question #33 - 34 of 126

Question ID: 1586110

What is the difference in the translated receivables turnover ratio for Navratov Corp. between the temporal and current rate methods? The receivables turnover rate is:

- A)** the same under both methods.
- B)** higher under the current rate method by 0.36x.
- C)** lower under the current rate method by 0.30x.



Explanation

The receivables turnover ratio is calculated as $(\text{sales} / \text{receivables})$. Under both the current rate and temporal methods, sales are translated at the average rate, while receivables are translated at the current rate. Since both the sales and receivables components are translated at the same rate, there will be no difference in the ratios between the two methods.

(Module 10.4, LOS 10.e)

Question #34 - 34 of 126

Question ID: 1586111

What is the difference in the total asset turnover ratio for Navratov Corp. between the temporal and current rate methods? The total asset turnover ratio is:

A) higher under the current rate method.



B) lower under the current rate method.



C) the same under both methods.



Explanation

The total asset turnover ratio = (sales / total assets)

We can see from the exchange rates that the Russian ruble is depreciating (it takes fewer dollars to buy a ruble). With a depreciating local currency, sales are going to be the same under either method, since sales are translated at the average rate. Assets on the other hand will be higher under the temporal method, and lower under the current rate method. This is because all assets are translated at the current rate under the current rate method (which has the lower exchange rate), and at different rates under the temporal method (which has fixed assets converted at the higher historical rate). With the same numerator and lower denominator, the current rate method will lead to the higher total asset turnover ratio.

(Module 10.4, LOS 10.e)

Question #35 of 126

Question ID: 1472555

The U.S. dollar (i.e., the reporting currency) has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on return on equity (ROE) based on ending equity relative to what the ratio would have been without the effects of translation?

A) ROE will most likely decline.



B) The impact of the depreciation of the US dollar on ROE is indeterminate.



C) ROE will most likely rise.



Explanation

ROE = Net Income / Equity. Under the current rate method, the equity accounts as a whole are translated at the current rate whereas net income is translated at the average rate. Since the dollar is depreciating, each foreign currency unit is buying more dollars in the denominator relative to the numerator of the equation. Hence, the denominator is increasing and the ratio falls.

(Module 10.6, LOS 10.f)

Question #36 of 126

Question ID: 1472562

Which of the following measures is unaffected by the choice between translation under the current rate method and remeasurement under the temporal method?

A) Equity.



B) Cost of goods sold.



C) Tax expense.



Explanation

Taxes are converted at the same rate (average rate) under both methods. Equity under the temporal method is a mixed rate whereas under the current rate method it is at the current rate. COGS under the temporal method is at the historical rate and under the current rate method it is at the average rate.

(Module 10.6, LOS 10.f)

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of common stock and long-term debt respectively are:

- A)** \$5,902 and \$3,075.
- B)** \$6,150 and \$3,075.
- C)** \$5,902 and \$3,001.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the SF is the functional currency, use the current rate method. Common stock is translated at the historical rate which is the rate that applied when the transaction was made or \$0.5902 and long-term debt is translated at the current rate of \$0.615. $10,000 \times 0.5902 = \$5,902$ for common stock and $5000 \times 0.6150 = \$3,075$ for long term debt.

(Module 10.6, LOS 10.f)

Deborah Ortiz, CFA[®], is the director of Global Research for F.E. Horton & Co. Ortiz recently hired two junior analysts, Tina Hiraue and Dominique Wilkins to assist in the financial statement analysis of global conglomerates. Hiraue and Wilkins are both Level II candidates in the CFA[®] Program, so Ortiz thought they would be the ideal people to work on a project dealing with consolidating the results of foreign operating units in the financial statements of the global parent.

Before starting on the project, Ortiz has a meeting with Hiraue and Wilkins to discuss the use of different currencies in a company's operations. At the meeting, Hiraue states that when analyzing multinational firms, there cannot be a difference between local and functional currencies. Wilkins disagrees with her and states that there can be a difference between local and functional currencies, but only if the parent of the subsidiary operates in a hyperinflationary environment. After another 30 minutes of discussion, Ortiz concludes the meeting by telling them to make sure they understand the different accounting rules for remeasurement and translation, under SFAS 52.

Hiraue and Wilkins are given projects involving two different firms:

- Molsan Industries is a Canadian multinational firm with a subsidiary in Japan. The subsidiary has operations in both Japan and Singapore.
- Neslarone is based in Switzerland and generates the majority of its cash in Swiss Francs (CHF). The firm issues and prepares its consolidated financial statements in U.S. dollars.

Hiraue and Wilkins spend the morning reviewing the details of their assignment and decide to take a break for lunch at a restaurant across the street from F.E. Horton & Co.'s headquarters. They agree that they have a challenging task and both are nervous about turning in their consolidated financial statements to Ortiz on the following day.

Question #38 - 41 of 126

Question ID: 1472491

Regarding the statements made at the meeting:

- A)** Hiraue's statement is incorrect; Wilkins' statement is correct.
- B)** Hiraue's statement is incorrect; Wilkins' statement is incorrect.
- C)** Hiraue's statement is correct; Wilkins' statement is correct.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Hirauye and Wilkins both make incorrect statements regarding local and functional currencies. A foreign subsidiary may have a local currency but designate another currency as its functional currency. The functional currency is defined as the currency of the primary environment in which the subsidiary generates and expends cash, but the choice of the functional currency is ultimately a function of management's judgment. Wilkins is also incorrect because the rate of inflation does not necessarily have an impact on designated currencies.

(Module 10.1, LOS 10.a)

Question #39 - 41 of 126

Question ID: 1472492

Hirauye is working on consolidating the financial statements of Molsan Industries' Japanese subsidiary. Under SFAS 52, regarding *Foreign Currency Translation*, if:

- more than half of the subsidiary's revenue is from Japanese sources, then the
A) results of the Singapore operation are translated into Japanese yen and then translated into Canadian dollars. ✗
- management determines that the subsidiary's functional currency is the
B) Japanese yen, the results of the Singapore operation are first remeasured into Japanese yen and then translated into Canadian dollars. ✓
- management determines that the subsidiary's functional currency is the
C) Singapore dollar, then the results of the Singapore operation are remeasured into Canadian dollars. ✗

Explanation

The functional currency is determined by management. Financial data are remeasured into the functional currency chosen by management and then translated into the reporting currency.

(Module 10.1, LOS 10.a)

Question #40 - 41 of 126

Question ID: 1472493

Ortiz had told the junior analysts to make sure they understand the different accounting rules under SFAS 52. When referring to foreign exchange rates, the difference between remeasurement and translation is that remeasurement:

- refers to the conversion of local currency into the functional currency;
- A)** translation is the conversion of the functional currency into the reporting currency. 
- B)** and translation refer to the same process of translating the functional currency into the reporting currency. 
- C)** is used to describe historical exchange rates while translation is used for current rates. 

Explanation

Translation is between functional and reporting currency. Remeasurement occurs between local and functional currencies.

(Module 10.1, LOS 10.a)

Question #41 - 41 of 126

Question ID: 1472494

Wilkins and Hirauye are working on constructing the consolidated statements for Neslarone. They know that after they convert from Swiss Francs (CHF) to U.S. dollars (USD), they will be left with a foreign currency adjustment that needs to be included on the financial statements. To convert from CHF to USD, the analysts should use the:

- A)** current rate method and they should record the foreign currency adjustment on the balance sheet. 
- B)** current rate method and they should record the foreign currency adjustment on the income statement. 
- C)** temporal method and they should record the foreign currency adjustment on the income statement. 

Explanation

Neslarone is based in Switzerland and generates the majority of its cash in CHF, meaning the local and functional currencies are both CHF. The firm issues financial reports in USD, so the dollar is the reporting currency. The process of converting from the functional currency to the reporting currency is translation and the correct method to use is the current rate method. When using the current rate method, the foreign currency adjustment is recorded in the equity section of the balance sheet.

(Module 10.1, LOS 10.a)

Scud Co. is a Swiss subsidiary of the U.S. firm Patriot, Inc. On December 31, 2012 the \$/SF exchange rate was 0.77. (Each Swiss Franc buys 77 cents) and is the historical rate applicable for fixed assets and common stock. One year later the Swiss Franc had appreciated to 0.85 \$/SF. Scud Co. pays no dividends. The average exchange rate for the year was 0.80 \$/SF. Scud pays no taxes. Assume that inventory is accounted for using the last in, first out (LIFO) inventory assumption and was bought and sold evenly throughout the year.

Scud Co. Int'l		
Balance Sheet (in SF thousands)		
	Dec. 31, 2012	Dec. 31, 2013
Cash & accounts receivables (A/R)	400	600
Inventory	500	500
Net Fixed Assets	700	600
Total Assets	<u>1,600</u>	<u>1,700</u>
Accounts payable (A/P)	100	200
Long-term debt	200	100
Common Stock	1,300	1,300
Retained Earnings	0	100
Total Liabilities	<u>1,600</u>	<u>1,700</u>

Income Statement (in SF thousands)	
December 31, 2013	
	In SF
Sales	7,000
Cost of Goods Sold (COGS)	(6,800)

Depreciation	(<u>100</u>)
Translation Gain/Loss	--
Net Income	100

Assume that the functional currency is the U.S. dollar when answering the following questions.

Question #42 - 45 of 126

Question ID: 1586088

After remeasurement, depreciation will be *closest* to:

A) \$85.



B) \$77.



C) \$80.



Explanation

Expenses related to assets translated at historical exchange rate, (e.g., cost of goods sold; depreciation; amortization) are translated at historical rates under the temporal method. Thus under the temporal method we should use the historical rate to remeasure depreciation: $100\text{SF} \times 0.77\text{\$/SF} = \$77$.

(Module 10.4, LOS 10.d)

Question #43 - 45 of 126

Question ID: 1586089

The value of common stock on the 2013 balance sheet should be *closest* to:

A) \$1,000.



B) \$1,100.



C) \$1,050.



Explanation

Common stock is translated using the historical rate under both the temporal method and the current rate method: $1300\text{SF} \times 0.77\text{\$/SF} = \$1001$.

(Module 10.4, LOS 10.d)

For Scud Co. under the temporal method, the monetary exposures and the foreign currency movements resulted in a:

- A)** cumulative translation adjustment gain on the balance sheet. 
- B)** remeasurement loss on the income statement. 
- C)** remeasurement gain on the income statement. 

Explanation

The net monetary exposure is the value of Cash & accounts receivables (A/R) minus Accounts payable (A/P) and Long-term debt. This is $\text{Sf.}600,000 - (\text{Sf.}200,000 + \text{Sf.}100,000) = \text{Sf.}300,000$. As the Swiss franc appreciates from 0.77 \$/SF to 0.85 \$/SF, there is a remeasurement gain that is recorded as part of net income on the income statement.

Exposure	Foreign Currency	
	Appreciating	Depreciating
Temporal method:		
Net monetary assets	Gain	Loss
Net monetary liabilities	Loss	Gain

(Module 10.4, LOS 10.d)

Question #45 - 45 of 126

Question ID: 1586091

If Scud Co.'s functional currency is the Euro, then to adjust the currency exposure to the parent's currency, the US\$, start with the:

- Euro and use the current rate method to convert to the local currency, the Swiss **A)** franc; then use the temporal method to convert to the presentation currency, the US\$. 
- Swiss franc and use the current rate method to convert to the functional **B)** currency, the Euro; then use the temporal method to convert to the presentation currency, the US\$. 
- Swiss franc and use the temporal method to convert to the functional currency, **C)** the Euro; then use the current rate method to convert to the presentation currency, the US\$. 

Explanation

Because the functional currency is neither the local currency nor the presentation currency, there will be two steps to the conversion. The functional currency is the intermediate step as local currency is converted to the functional currency, and then to the presentation currency: Sf → € → US\$. The conversion from local currency to a functional currency uses the temporal method; the conversion from functional currency to a presentation currency uses the current rate method.

Translation: Current Rate Method	Remeasurement Temporal Method	Current Rate & Temporal Methods
Presentation Currency	Presentation Currency	Presentation Currency
	=	
Functional Currency	Functional Currency	Functional Currency
=		
Local Currency	Local Currency	Local Currency

(Module 10.4, LOS 10.d)

Question #46 of 126

Question ID: 1472561

Which example *least accurately* describes pure balance sheet and income statement ratios?

- A) All pure balance sheet ratios are affected by the all-current translation method. ✓
- B) The current ratio is a pure balance sheet ratio. ✗
- C) When multiplying both the numerator and denominator by the current exchange rate, the current rate is cancelled. ✗

Explanation

All pure balance sheet ratios are unaffected by the all-current translation method.

(Module 10.6, LOS 10.f)

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 2005, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 2005

	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200
Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement

For year ending December 31, 2005

(Amounts in millions of Chad)

Revenues	1,000
Cost of sales	700
Depreciation expense	50
Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

Acer has determined that the exchange rate exposure at the beginning of 2005 is –260 Chad.

The exchange rate at the beginning of 2005 was 0.3333 Chad/US\$ and that is the historical rate applicable to beginning inventory of 90 Chad. The exchange rate at the end of 2005 was 0.25 Chad/US\$. The average rate for 2005 is 0.3125 Chad/US\$. Purchases occurred evenly throughout the year. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method. Assume that retained earnings at year end 2004 were

zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 2005.

Question #47 - 48 of 126

Question ID: 1472553

What is Acer Tool & Die's cost of sales in U.S. dollars using the temporal method?

A) \$2,240.00



B) \$2,222.00



C) \$2,242.00



Explanation

Purchases = COGS – Beginning inventory + ending inventory = 710 Chad

	Chad	Conversion	US\$
Beginning inventory	90	0.3333	\$270
Purchases	710	0.3125	2,272
Ending inventory	100	0.3125	<u>320</u>
COGS	700		\$2,222

(Module 10.6, LOS 10.f)

Question #48 - 48 of 126

Question ID: 1472554

What is the remeasurement gain or loss for the period using the temporal method?

A) \$50 gain.



B) \$32 loss.



C) \$52 loss.



Explanation

Remeasured income statement under temporal method:

$$\text{Revenues} = 1000 / 0.3125 = 3200$$

$$\text{COGS} = 2222 \text{ (from previous question)}$$

$$\text{Depreciation} = 50 / 0.3333 = 150$$

$$\text{Selling expense} = 30 / 0.3125 = 96$$

$$\text{Income before remeasurement gain} = 3200 - 2222 - 150 - 96 = 732$$

$$\text{Net income} = 680 \text{ (= retained earnings at year end 2005 - retained earnings at year end 2004)}$$

$$\text{Remeasurement gain/loss} = 680 - 732 = -52$$

(Module 10.6, LOS 10.f)

Question #49 of 126

Question ID: 1472548

Where does the currency translation gain or loss appear in the financial statements under the temporal method and the current rate method?

	<u>Temporal</u> <u>method</u>	<u>Current rate</u> <u>method</u>	
A)	Balance sheet	Balance sheet	✗
B)	Income statement	Balance sheet	✓
C)	Balance sheet	Income statement	✗

Explanation

Currency translation gain or loss appears on the income statement under the temporal method and the balance sheet under the current rate method.

(Module 10.6, LOS 10.f)

Question #50 of 126

Question ID: 1472537

The U.S. Deter Company operates a subsidiary in the UK, and the functional currency is the British pound. The subsidiary's 2001 income statement shows £500 of net income and a £50 dividend that was paid on December 31, when the exchange rate was \$1.50 per pound. The current exchange rate is \$1.65 per pound, and the average rate is \$1.58 per pound. What is the change in retained earnings for the period in U.S. dollars under U.S. GAAP?

A) \$750.



B) \$725.



C) \$715.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the functional currency is the local currency, use the current rate method. The net income is translated at the average rate, and dividends are translated at the rate that applied when they were paid. Hence: $1.58(£500) - 1.50(£50) = \715 .

(Module 10.4, LOS 10.e)

Question #51 of 126

Question ID: 1472497

A German company (reporting currency = Euro) owns a foreign subsidiary in the U.S. If the results below are reported in local currency (USD), after translation what is the effect of the change in the exchange rate on revenues? Round to the nearest dollar and/or percent.

Year	Sales	\$ per 1 Euro avg. Exchange Rate
2001	\$10,000	0.9
2002	\$10,000	0.8

A) The company shows a 12.5% growth in revenues in 2002.



B) The company shows a 0.1% decline in revenues in 2002.



C) There is no change is revenue growth between 2001 and 2002.



Explanation

While sales were flat in terms of local currency, after translation the reported revenue increased 12.5%. $10,000/0.9 = 11,111$; $10,000/0.8 = 12,500$; $12,500/11,111 = 12.5\%$ increase due to exchange rate effects.

(Module 10.2, LOS 10.c)

Hise Home Supply is a large, profitable home improvement retailer located in the United Kingdom. Hise has recently been acquiring niche retailers with popular brand names in certain segments of the home improvement market. One of these retailers was Wilson Tile and Stone, a U.S. business that derived a large part of its sales from the UK.

The management team for Hise now makes all operating, financing, and investment decisions. Brian Heltzel, a financial analyst for Hise, is responsible for translating Wilson's financial statements from U.S. dollars to the reporting currency. Hise conducts its business and issues financial statements in British pounds (£). Extracts from the financial statements of Wilson are shown below in Exhibit 1.

Exhibit 1: Wilson Financial Statement Extracts

Wilson Tile and Stone – December 31, 20X7 and 20X8 Balance Sheets		
	20X7	20X8
Cash	\$1,200	\$1,400
Accounts receivable	6,500	9,900
Inventory	<u>10,400</u>	<u>12,400</u>
Current assets	\$18,100	\$23,700
Fixed assets	40,000	40,000
Accumulated depreciation	<u>10,000</u>	<u>15,000</u>
Net fixed assets	\$30,000	\$25,000
TOTAL ASSETS	\$48,100	\$48,700
Accounts payable	\$5,000	\$6,000
Current portion of LT debt	1,500	1,500
Long term debt	<u>25,000</u>	<u>23,500</u>
Total liabilities	\$31,500	\$31,000
Common stock	10,000	10,000

Retained earnings	<u>6,600</u>	<u>7,700</u>
Total equity	\$16,600	\$17,700
TOTAL LIABILITIES and EQUITY	\$48,100	\$48,700

Wilson Tile and Stone – 20X8 Income Statement	
Revenue	\$75,000
Cost of goods sold	<u>(60,000)</u>
Gross margin	\$15,000
Other expenses	(2,300)
Depreciation expense	(5,000)
Net Income	7,700

Wilson uses the FIFO method for inventory accounting.

Applicable exchange rates are as follows:

- December 31, 20X7: £1.00 = \$1.60
- December 31, 20X8: £1.00 = \$1.80
- Average for 20X8 = £1.00 = \$1.70
- Historical rate for fixed assets, inventory, and equity: £1.00 = \$1.50
- Dividend declaration date: £1.00 = \$1.75.

Heltzel is also using some information that has been provided by the accounts department of Wilson. He made the notes shown below in Exhibit 2 from an email the accounts department sent.

Exhibit 2: Accounting Department Notes

20X8 income before remeasurement gain/loss	£4,138
Dividends paid during the year	£2,250
Opening retained earnings	£5,150
Ending retained earnings	£7,323

Hertzell has also discussed the future of Wilson's role in the group with board members from both Wilson and Hise. These discussions resulted in a concern as outline below.

Concern

Wilson's board have warned Heltzel that they are likely to engage in transactions next year which will lead to significant deferred revenue balances remaining on the balance sheet at the year end.

Question #52 - 55 of 126

Question ID: 1586123

As Heltzel is translating the balance sheet and income statement, which of the following are closest to the values Heltzel determines for revenues and accounts payable for 20X8?

	<u>Revenues</u>	<u>Accounts Payable</u>	
A)	£41,667	£3,333	
B)	£44,118	£3,529	
C)	£44,118	£3,333	

Explanation

Since the British pound is the functional currency, the temporal method should be used. Under both the current rate and temporal methods, revenues are translated at the average rate. The value Heltzel will calculate for revenues is $\$75,000 / \$1.70 = £44,118$.

Also, under both the temporal and current rate methods, monetary assets and liabilities are calculated using the current exchange rate. The value Heltzel will calculate for accounts payable will be $\$6,000 / \$1.80 = £3,333$.

(Module 10.6, LOS 10.f)

Question #53 - 55 of 126

Question ID: 1586124

If Wilson assumes the numbers in Exhibit 2 are correct, the remeasurement gain/loss for 20X8 will be closest to:

- | | |
|------------|---|
| A) £285. |  |
| B) -£77. |  |
| C) £1,012. |  |

Explanation

Net income = ending retained earnings – beginning retained earnings + dividends paid.

Net income = 7323 – 5150 + 2250 = £4423.

Remeasurement gain = net income – net income before remeasurement gain = 4423 – 4138 = £285.

(Module 10.4, LOS 10.e)

Question #54 - 55 of 126

Question ID: 1586125

Which of the following treatments is most likely correct regarding the items outlined in Heltzel's concern?

- A) The balance should be translated at the historic rate as it is a monetary item. 
- B) The balance should be translated at the closing rate as it is a monetary item. 
- C) The balance should be translated at the historic rate as it is a non-monetary item. 

Explanation

Deferred revenue is a non-monetary liability and should be translated at the historic rate.

(Module 10.4, LOS 10.e)

Question #55 - 55 of 126

Question ID: 1586126

Which of the following statements regarding the treatment of subsidiaries in a hyper-inflationary environment under U.S. GAAP is most likely correct?

- A) The subsidiary should be translated using the temporal method regardless of the level of autonomy, and then no further restatement is required. 
- B) The subsidiary should be translated using the temporal method regardless of the level of autonomy, and non-monetary items restated for the effect of local inflation. 
- C) The subsidiary should be translated using the current rate method regardless of the level of autonomy, and non-monetary items restated for the effect of local inflation. 

Explanation

U.S. GAAP requires the use of the temporal method.

(Module 10.4, LOS 10.e)

Question #56 of 126

Question ID: 1472547

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100% stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the first in, first out (FIFO) inventory cost-flow assumption. The gross profit margin as computed under the current rate method would *most likely* be:

- A) higher than the gross profit margin as computed under the temporal method. 
- B) equal to the gross profit margin as computed under the temporal method. 
- C) lower than the gross profit margin as computed under the temporal method. 

Explanation

The average rate is used to convert sales under both the temporal method and the current rate method. Hence, the only difference between the two computations is on cost of goods sold (COGS). Since the firm uses FIFO, older materials are flowing into COGS and an older exchange rate applies. Since in the past the foreign currency bought fewer dollars, the gross profit under the temporal method will be higher than that of the current rate method. It may help to 'think' that with the current rate method, you use the average rate for COGS, which makes COGS higher because the currency has appreciated.

(Module 10.6, LOS 10.f)

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan and manufactures a hugely successful line of trading cards, toys, and other related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in Yen/dollars.

Yen/Dollar Exchange Rate	
December 31, 2005	150

December 31, 2004	130
2005 Average	140
2004 Average	120
Exchange rate on date that 2005 dividends were declared by Kasamatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Ashley Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, she believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other major investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however, wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2005			
(in thousands of yen)			
Statement of Income and Retained Earnings			
Sales			700,000
Expenses			
	Cost of Goods Sold (COGS)		280,000
	Depreciation		126,000
	SG&A		<u>77,000</u>
		Total Expenses	483,000
Earnings Before Taxes (EBT)			217,000
Income Tax Expense			<u>98,000</u>
Net Income			119,000

Retained Earnings: December 31, 2004	<u>250,000</u>
	369,000
Dividends	<u>58,000</u>
Retained Earnings: December 31, 2005*	311,000
* Retained earnings on 12/31/2005 were US \$2million	

Balance Sheet			
Assets			
	Cash and receivables		60,000
	Inventory		180,000
	Land		200,000
	Fixed assets		<u>346,000</u>
		Total assets	786,000
Liabilities and stockholders' equity			
	Liabilities		300,000
	Capital stock		175,000
	Retained earnings		<u>311,000</u>
		Total liabilities and stockholders' equity	786,000

Question #57 - 58 of 126

Question ID: 1472535

Before Jameson can perform any financial statement analysis she needs to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* appropriate method to use?

- A) The current rate method.
- B) The temporal method.
- C) First the temporal method, followed by the current rate method.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Under US GAAP the current method must be used to translate the yen financial statements into USD, the reporting currency. Had Kasamatsu been operating in a highly inflationary environment or had the local and functional currency not been the same, then WB would be required to use the temporal method.

(Module 10.4, LOS 10.e)

Question #58 - 58 of 126

Question ID: 1472536

Jameson must also determine how the fluctuation in the yen vs. the dollar has affected Kasamatsu's earnings in the reporting currency. Which of the following *best* describes the effect of changes in the yen/dollar rate has had on earnings in the reporting currency?

Earnings have:

- A)** decreased because the yen is depreciating versus the USD.
- B)** increased because the yen is appreciating versus the USD.
- C)** increased because the yen is depreciating versus the USD.



Explanation

Examination of the history of the exchange rate shows that both the year-end and average exchange rates are lower in 2005 than in 2004 (lower in that the yen has weakened vs. the USD). Therefore, Kasamatsu has to earn more yen than it did in the previous year for WB to be able to report the same dollar amount of net income. This means that the true economic performance of Kasamatsu is understated when viewed as a component of WB's net income.

(Module 10.4, LOS 10.e)

Question #59 of 126

Question ID: 1472558

Which of the following statements concerning the translation of a subsidiary's financial statement and the subsidiary's ratios is *least* accurate?

- A)** Ratios calculated under the current rate method will not differ from those calculated under the temporal method.
- B)** The statement of cash flows is not affected by the choice of translation.



- C) The subsidiary's ratios in the local currency will differ from ratios calculated after translation.



Explanation

Ratios calculated under the current rate method will differ from those calculated under the temporal method.

(Module 10.6, LOS 10.f)

Question #60 of 126

Question ID: 1472564

In a hyperinflationary economy, translation under the current rate method will *most likely* result in relatively:

- A) high balance sheet values for long term assets.
- B) high translation gains.
- C) low balance sheet values for long term liabilities.



Explanation

In a hyperinflationary economy, translation under the current rate method will *most likely* result in relatively low balance sheet values for assets and liabilities. Translation losses will also occur.

(Module 10.7, LOS 10.g)

Question #61 of 126

Question ID: 1472495

Sycamore Systems sold \$5 million worth of software on December 1, 20X1 to a Japanese company with payment denominated in Japanese yen to be received in two months. Sycamore's year end is 31st December. Payment was received on 31 Jan 20X2.

Exchange rates	(1 USD)
1 Dec 20X1	95
31 Dec 20X1	90
31 Jan 20X2	35

The amount of transaction gain/loss recorded by Sycamore on its income statement for the year ending 31 Dec 20X1 is *closest* to:

A) gain of \$280,000.



B) gain of \$580,000.



C) loss of \$300,000.



Explanation

Sale amount = \$5 million $\times$ 95 = 475 million yen. Accounts receivable on sale date = \$5 million.

Accounts receivable at year-end = 475 million yen/90 = \$5.28 million

The appreciation of the yen resulted in a gain of \$280,000 on the balance sheet date and would be recognized in the income statement.

(Module 10.1, LOS 10.b)

Question #62 of 126

Question ID: 1472532

Which of the following statements regarding foreign currency translation are *least* accurate? Under the:

A) temporal method, COGS and depreciation are remeasured using the historical rate.



B) current rate method, the foreign currency translation gain or loss appears on the parent firm's income statement.



C) temporal method, sales are remeasured using the average rate.



Explanation

Under the current rate method, the foreign currency translation gain or loss appears on the parent firm's *balance sheet* in the equity accounts.

(Module 10.4, LOS 10.e)

Giant Company is a U.S. firm that produces parts for nuclear reactors. Giant Company has a subsidiary, Grande, Inc., that operates in Mexico and is responsible for designing and manufacturing connection fittings that are vital for the proper operation of its parent company's reactors.

- Giant Company considers the U.S. dollar to be the functional currency of Grande, Inc.
- Grande, Inc., began operations January 1, 2001.
- Common Stock and Fixed Assets were acquired January 1, 2000.

- Inventory is accounted for under the last in, first out (LIFO) cost flow assumption, and was purchased evenly through the year.
- The inventory in the January 1, 2001, Balance Sheet was acquired on January 1, 2001.

Exchange Rates were:	January 1, 2000	\$0.14/M peso
	January 1, 2001	\$0.12/M peso
	June 30, 2001	\$0.11/M peso (this is the 2001 average rate)
	December 31, 2001	\$0.10/M peso

Grande, Inc.		
Balance Sheet (in M Pesos)		
	Jan. 1, 2001	Dec. 31, 2001
Cash	5,000,000	20,000,000
Accounts Receivable	20,000,000	35,000,000
Inventory	15,000,000	15,000,000
Fixed Assets (net)	70,000,000	60,000,000
Accounts Payable	10,000,000	10,000,000
Long Term Debt	40,000,000	35,000,000
Common Stock	80,000,000	80,000,000
Retained Earnings		5,000,000
2001 Income Statement		
(in M Pesos)		
Sales		60,000,000
Cost of Goods Sold		(45,000,000)
Depreciation		(10,000,000)
Net Income		5,000,000

Giant Company should use the following method to reflect the results of Grande, Inc., in its financial statements:

- A)** the temporal method followed by the current rate method. 
- B)** the current rate method. 
- C)** the temporal method. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The temporal method is used when the functional currency is the parent's currency.

(Module 10.6, LOS 10.f)

Question #64 - 66 of 126

Question ID: 1586099

Which of the following statements regarding the current rate method is the *most* accurate?

- A)** This method is not typically used when the subsidiary is relatively independent of the parent. 
- B)** Translation gains and losses are reported in equity. 
- C)** Income statements items are translated at the current exchange rate. 

Explanation

Under the current rate method, translation gains and losses are reported in equity in the CTA account. This method is typically used when the subsidiary is relatively independent of the parent. Revenues and expenses are translated at the average rate.

(Module 10.4, LOS 10.e)

Question #65 - 66 of 126

Question ID: 1586100

The translation gain or loss from the activities of Grande, Inc., should be reported in:

- A)** the statement of shareholder's equity. 

B) the statement of cash flows.



C) the income statement.



Explanation

Under the temporal method, translation gains and losses are included in the income statement.

(Module 10.4, LOS 10.e)

Question #66 - 66 of 126

Question ID: 1586101

Revenues for 2001 translated into U.S. dollars amount to:

A) \$6,000,000.



B) \$7,800,000.



C) \$6,600,000.



Explanation

Under the temporal method, revenues are translated at the average rate during the reporting period.

$$60,000,000 \times 0.11 = \$6,600,000$$

(Module 10.4, LOS 10.e)

Question #67 of 126

Question ID: 1472529

Which of the following statements is *NOT* a characteristic of the current rate method of accounting for foreign currency translation?

A) All asset accounts are translated at the current rate of exchange as of the balance sheet date.



B) The common stock account is translated at the rate of exchange that applied when the equity was issued.



C) Nonmonetary liabilities are translated at the historical rate of exchange.



Explanation

Under the current rate method, all liabilities are translated at the current rate of exchange.

(Module 10.4, LOS 10.e)

Della Air Lines has recently acquired Australian Puddle Jumpers, Inc. (APJ), a small airline located in Sydney. The Australian dollar has been chosen by Della as the functional currency for APJ. The balance sheet of APJ is given below as of Dec. 31, 2011 in U.S. dollars.

Assets		Liabilities and Equity	
Cash	\$100	Accounts Payable (A/P)	\$90
Accounts Receivable (A/R)	120	Common Stock	360
Maintenance Supplies	90		
Fixed Assets	140		
Total Assets	\$450	Total Liabilities & Equity	\$450

APJ's income statement for the year ending Dec. 31, 2012 is expressed in Australian dollars as:

Sales	3,500
Total Costs	<u>2,900</u>
Net Income	600

The Australian dollar has steadily depreciated against the U.S. dollar. At Dec. 31, 2011, the exchange rate was A\$/US\$ 2.50, the average rate during the year was A\$/US\$ 2.75 and A\$/US\$ 3.0 on Dec. 31, 2012.

The Dec. 31, 2012 Balance Sheet for APJ is given in Australian dollars as follows:

Assets		Liabilities and Equity	
Cash	441	A/P	210
A/R	330	Common Stock	720
Supplies	291	Retained Earnings	600
Fixed Assets	468		
Total Assets	<u>1,530</u>	Total Liabilities & Equity	<u>1,530</u>

Question #68 - 71 of 126

Question ID: 1472512

On APJ's 2012 income statement, the level of sales in U.S. dollars would be *closest* to:

A) \$1,985.



B) \$1,272.



C) \$1,377.

**Explanation**

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the Australian dollar is the functional currency, use the current rate method. The items in the income statement are translated at the *average* exchange rate. The average rate is $(2.5 + 3) / 2 = 2.75$ Australian dollars per = US\$.

Income Statement (in \$)

Sales (3,500 / 2.75)	\$1,272
Costs (2,900 / 2.75)	<u>\$1,055</u>
Net Income	\$217

(Module 10.4, LOS 10.d)

Question #69 - 71 of 126

Question ID: 1472513

On APJ's 2012 balance sheet, the level of accounts receivable is U.S. dollars would be *closest* to:

A) \$110.



B) \$132.



C) \$330.

**Explanation**

Since we are using the current rate method, all balance sheet accounts are translated at the current exchange rate, except for the common stock account, which is translated at the historical rate.

$$A/R: (330 / 3) = 110$$

(Module 10.4, LOS 10.d)

Question #70 - 71 of 126

Question ID: 1472514

For APJ, the conversion to US\$ is *most likely* to result in:

- A) remeasurement gain.
- B) cumulative translation adjustment loss.
- C) cumulative translation adjustment gain.

**Explanation**

APJ shows a net asset:

Total assets	A\$1,530 / (3.00 A\$/US\$) = US\$510
Total liabilities	A\$210 / (3.00 A\$/US\$) = US\$70
Net asset	= US\$440

Because the functional currency is the local currency, the current rate method is used. When we have a net asset balance sheet exposure, a weakening foreign currency will result in a negative translation adjustment. APJ's net asset position will result in a cumulative transaction adjustment loss as the foreign currency, the A\$, is depreciating.

Exposure	Foreign Currency	
Current rate method:	Appreciating	Depreciating
Net assets	Gain	Loss
Net liabilities	Loss	Gain

(Module 10.4, LOS 10.d)

Question #71 - 71 of 126

Question ID: 1472515

If the functional currency is the reporting currency, the exposure and the foreign currency movements are *most likely* to result in a:

- A) remeasurement loss.
- B) cumulative translation adjustment loss.
- C) remeasurement gain.

**Explanation**

APJ has a net monetary asset exposure:

Total monetary assets: Cash + A/R A\$771 / (3.00 A\$/US\$) = US\$257

Total monetary liabilities: A\$210 / (3.00 A\$/US\$) = US\$70

Net monetary asset = US\$187

Because the functional currency is the reporting currency, the temporal method is used and this means there is remeasurement – a loss as the foreign currency, the A\$, is depreciating.

Exposure	Foreign Currency	
	Appreciating	Depreciating
Temporal method:	Appreciating	Depreciating
Net monetary assets	Gain	Loss
Net monetary liabilities	Loss	Gain

(Module 10.4, LOS 10.d)

Question #72 of 126

Question ID: 1472543

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100 percent stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the FIFO inventory cost-flow assumption. The net profit margin as computed under the current rate method would *most likely* be:

- A) higher than the same ratio computed under the temporal method. 
- B) either higher or lower than the same ratio computed under the temporal method. 
- C) lower than the same ratio computed under the temporal method. 

Explanation

The foreign currency gain or loss appears on the income statement under the temporal method. Hence, to make any determinations regarding the movements of this ratio, we need more information regarding the net monetary asset or liability position as of both the beginning and ending balance sheet date.

(Module 10.6, LOS 10.f)

Sopgate is a manufacturer of branded fast moving consumer goods having business operations in 28 countries (in each country, Sopgate has a wholly owned local subsidiary for production and/or distribution). Following information is available from Sopgate's annual report:

Region	Revenue Growth (USD)*	Growth in pre-tax profits (USD)*	Tax rate
Latin America	5%	4%	25%
North America	3%	3%	35%
Europe	2%	-1%	45%
Asia pacific	4%	6%	20%

*Growth rate indicates expected growth rate over the next five years.

Sopgate's effective tax rate is *most likely* expected to:

A) increase.



B) remain unchanged.



C) decrease.



Explanation

Sopgate's profits are expected to grow at a faster rate for lower tax rate regions as compared to higher tax regions. Hence the effective tax rate can be expected to decrease.

(Module 10.8, LOS 10.h)

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The total value of net monetary assets is equal to:

- A)** -4,000 SF.
- B)** 12,000 SF.
- C)** 3,000 SF.



Explanation

Monetary assets and liabilities include cash, A/R, A/P and Long-term debt. Hence, net monetary assets is equal to $3,000 - (2,000 + 5,000) = -4,000$ SF.

(Module 10.6, LOS 10.f)

Which of the following statements describing the choice of the functional currency is *least* accurate? The functional currency should be the same as the parent's reporting currency if the subsidiary is:

- A) highly integrated with the parent where the local currency, prices, and some costs are controlled or restricted. 
- B) mostly independent from the parent. 
- C) highly integrated with the parent where the local currency, prices, and some costs are not controlled or restricted. 

Explanation

The preferred functional currency for subsidiaries that are mostly independent of the parent is the local currency. For highly integrated subsidiaries (regardless of local conditions), or for subsidiaries operating in high-inflation environments, the parent's reporting currency should be used as the functional currency.

(Module 10.1, LOS 10.a)

Question #76 of 126

Question ID: 1472574

A company is exposed to foreign exchange risk due the impact of changes in currency values on a:

- A) company's assets and liabilities only. 
- B) company's assets, liabilities, and future sales. 
- C) company's assets only. 

Explanation

Foreign exchange risks include the impact of changes in currency values on assets and liabilities of a business, as well as on future sales.

(Module 10.8, LOS 10.j)

Question #77 of 126

Question ID: 1472566

Which of the following asset or liability values is likely to be the *most* understated in a hyperinflationary economy if translation occurs under the current rate method?

- A) A plant purchased several years ago. 

B) Dividends payable.



C) Accounts receivable.



Explanation

The accounts receivable and dividends payable will each have book values that are closer to their market values than a plant purchased many years ago.

(Module 10.7, LOS 10.g)

Question #78 of 126

Question ID: 1472499

Edmonton Oilfield Supply has made an equipment sale in Venezuela in the amount of VEF 15,000,000. On the day of the sale, the exchange rate is 1.7519 VEF per 1 Canadian dollar. 90 days later, when the Venezuelan firm pays for the equipment, the exchange rate is 1.6326. As a result of the change in the exchange rate, Edmonton will recognize a:

A) gain of \$1,096,104.



B) loss of \$1,789,500.



C) gain of \$625,666.



Explanation

On the day of the sale, Edmonton will record an account receivable of $15\text{m}/1.7519 = \$8,562,133$. When the payment is received and converted to CAD, the realized amount will be $15\text{m}/1.6326 = \$9,187,799$. As a result of the appreciating VEF, Edmonton will realize a gain of $\$9,187,799 - \$8,562,133 = \text{CAD } 625,666$.

(Module 10.2, LOS 10.c)

Question #79 of 126

Question ID: 1472570

(Assume U.S. GAAP for this question.) For a subsidiary in a hyperinflationary economy, the functional currency should be the:

A) Parent's currency.



B) Local currency.



C) Subsidiary's operating currency.



Explanation

The functional currency should be the parent's currency. Under IFRS, the firm would restate the financials for inflation, and then translate under the current rate method.

(Module 10.7, LOS 10.g)

A U.S. company has a subsidiary based in Malaysia, which has the following income statement for 20X6 and balance sheets for 20X5 and 20X6 (in million Ringgit).

Sales	1,000
Cost of goods sold	600
Depreciation	80
Operating expenses	120
Earnings before taxes	200
Taxes	60
Net income	140
Dividends	20

	20X5	20X6
Cash	50	60
Accounts receivables	100	110
Inventories	100	110
Other current assets	100	110
Gross PP&E	700	800
Less accumulated depreciation	70	150
Net PP&E	630	650
Other fixed assets	20	40
Total assets	1,000	1,080
Account payable	70	80
Current portion of LTD	100	100
Notes payable	100	150

Other current liabilities	30	30
Long-term debt	300	200
Common stock	100	100
Paid in capital	50	50
Retained earnings	250	370

The value of the Ringgit at various times over the past two years is as follows:

January 1, 20X5	\$0.37
April 1, 20X5	\$0.38
December 31, 20X5	\$0.40
June 30, 20X6	\$0.47
December 31, 20X6	\$0.50
Average for 20X5	\$0.39
Average for 20X6	\$0.45

The common stock and long-term debt were originally issued in January of 20X5. The fixed assets and first inventory purchases were made in April of 20X5. Additional fixed asset purchases were made in June 20X6. Inventory is measured using the FIFO method. It can be assumed that all of the ending inventory was acquired in June when the last major purchase was made. The operations of the subsidiary are independent from the operations of the U.S. parent. Inflation over the past three years has averaged 15% per year.

Question #80 - 83 of 126

Question ID: 1586113

The amount of 20X6 cost of goods sold in USD is:

(Note: if needed, use \$0.40 as the rate to convert 20X5 ending inventory)

- A) \$300,000,000.00
- B) \$262,800,000.00
- C) \$270,000,000.00



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency. Note that the 15% inflation over three years results in cumulative price increases of $(1.15^3) - 1 = 52\%$ over three years. U.S. GAAP's definition of hyperinflation, requiring the use of the temporal method, is a cumulative three-year rate exceeding 100%.

Because the operations are independent from the parent, the current rate method will be used. Cost of goods sold should be accounted for at the average rate for the past year. The amount of cost of goods sold is $0.45 \times 600,000,000 = \$270,000,000$.

(Module 10.6, LOS 10.f)

Question #81 - 83 of 126

Question ID: 1586114

The value of December 31, 20X6, gross property, plant, and equipment reported in USD is:

A) \$313,000,000.



B) \$400,000,000.



C) \$304,000,000.



Explanation

Because the operations are independent from the parent, the current rate method will be used. Fixed assets should be accounted for at the current rate. The value is $0.5 \times 800,000,000 = \$400,000,000$.

(Module 10.4, LOS 10.e)

Question #82 - 83 of 126

Question ID: 1586115

The value of December 31, 20X6, inventory reported in USD is:

A) \$55,000,000.



B) \$51,700,000.



C) \$49,500,000.



Explanation

Because the operations are independent from the parent, the current rate method will be used. Inventory should be accounted for at the current rate. The value is $0.50 \times 110,000,000 = \$55,000,000$.

(Module 10.4, LOS 10.e)

Question #83 - 83 of 126

Question ID: 1586116

The value of all financing debt (notes payable, current portion of long-term debt, and long-term debt) on December 31, 20X6, reported in USD is:

- A) \$225,000,000. 
- B) \$171,000,000. 
- C) \$202,500,000. 

Explanation

Because the operations are independent from the parent, the current rate method will be used. All debt should be accounted for at the current rate. The value is $0.50 \times 450,000,000 = \$225,000,000$.

(Module 10.4, LOS 10.e)

Question #84 of 126

Question ID: 1472569

A hyperinflationary economy is typically defined as one that has:

- A) cumulative inflation that exceeds 100% over a twelve-year period. 
- B) cumulative inflation that exceeds 100% over a three-year period. 
- C) an inflation rate that exceeds 10% per year for three consecutive years. 

Explanation

The typical definition is that cumulative inflation exceeds 100% over a three-year period.

(Module 10.7, LOS 10.g)

Question #85 of 126

Question ID: 1472510

Which of the following general statements is *CORRECT* with respect to the temporal method? Monetary assets are:

- A) translated at the current rate. 
- B) translated at the average rate. 

C) not translated.



Explanation

As a general rule in using the temporal method, monetary assets are translated using the current rate.

(Module 10.3, LOS 10.e)

Question #86 of 126

Question ID: 1472563

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 20X2, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 20X2			
	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200
Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement	
For year ending December 31, 20X2	
(Amounts in millions of Chad)	
Revenues	1,000
Cost of sales	700
Depreciation expense	50
Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

The exchange rate at the beginning of 20X2 was 0.3333 Chad/US\$. The exchange rate at the end of 20X2 was 0.25 Chad/US\$. The average rate for 20X2 is 0.3125 Chad/US\$. Beginning inventory is 90 Chad, which was translated to \$270 on the 20X1 balance sheet. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method.

Purchases occurred evenly throughout the year. Assume that retained earnings at year-end 20X1 were zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 20X2.

Using the current rate method for the Acer Tool & Die Company, what is the value of total assets after translation?

A) \$1,950.



B) \$2,600.



C) \$2,020.



Explanation

With the current rate method, all balance sheet items except for common stock are translated at the current rate.

$$\text{Total assets} = 650 / 0.25 = \$2,600.$$

(Module 10.6, LOS 10.f)

Question #87 of 126

Question ID: 1472498

A Canadian firm owns a foreign subsidiary in the U.S. In 2002, sales were USD1,000,000 and the USD/CAD exchange rate was 0.6329. In 2003, sales were also USD1,000,000 but the exchange rate was 0.7484. What is the impact of the change in the value of the CAD on the parent company's translated sales? Sales will:

A) decline by 15%.



B) decrease by 18%.



C) increase by 18%.



Explanation

While sales were flat at USD 1,000,000 in local currency terms, after translation the parent firm would report sales of CAD 1,336,184 for 2003 ($= \text{USD } 1,000,000 / 0.7484$) versus sales of CAD 1,580,028 for 2002 ($= \text{USD } 1,000,000 / 0.6329$). The 15% sales decline reported by the Canadian firm (CAD 1,336,184 versus CAD 1,580,028) is a flow effect. Even though there was no sales growth in the subsidiary, the parent firm still shows a 15% decrease in revenues from the subsidiary due solely to exchange rate effects. Note that because the subsidiary sales are constant the total exchange rate effect can be measured as $(0.6329 / 0.7484) - 1 = -0.15$.

(Module 10.2, LOS 10.c)

Question #88 of 126

Question ID: 1472503

Which of the following statements is *least* accurate regarding the use of the temporal method for foreign exchange accounting?

- A) Under the temporal method, the foreign exchange gain or loss is placed on the balance sheet in the equity section. 
- B) All monetary assets are translated at the current rate of exchange. 
- C) All nonmonetary assets and liabilities are translated at the historical rate of exchange. 

Explanation

Under the temporal method, the foreign exchange gain or loss is placed on the *income statement*.

(Module 10.3, LOS 10.e)

Question #89 of 126

Question ID: 1472565

Under U.S. GAAP, the temporal method is preferred to the current rate method in hyperinflationary economies because the temporal method:

- A) is easier to perform under hyperinflation. 
- B) provides better conversions of subsidiary revenues. 
- C) results in non-monetary asset values that are a better proxy for the economic values of those assets. 

Explanation

The temporal method results in non-monetary asset values that are a better proxy for the economic values of those assets than those obtained under the current rate method. Both methods convert revenues and SG&A at the average rate so there could be no clear preference when considering these measures.

(Module 10.7, LOS 10.g)

Question #90 of 126

Question ID: 1472508

Dave Iverson, CFA, is analyzing the recently released financial statement of Global Corp., a large multinational manufacturing company with production facilities across Europe and Southeast Asia. The company's choice of functional currency is not disclosed, but Iverson does notice that Global Corp. does not have any cumulative translation adjustments (CTA) on its balance sheet. Which of the following statements is *most* accurate based upon Iverson's observation?

- A) The temporal method of foreign currency translation is used exclusively. 
- B) The temporal method of foreign currency translation is used for at least some of its subsidiaries. 
- C) The current rate method of foreign currency translation is used exclusively. 

Explanation

The choice of functional currency is the determining factor as to which method of foreign currency translation is utilized. If no CTA appears on the balance sheet, then the parent currency must be the functional currency for all of the company's subsidiaries and only the temporal method is used.

(Module 10.3, LOS 10.e)

Question #91 of 126

Question ID: 1472501

Which of the following general statements is *most* accurate with respect to the temporal method? Nonmonetary assets are translated at:

- A) the average rate during the year. 
- B) the current rate. 
- C) historical rates at the time of the transaction. 

Explanation

As a general rule in using the temporal method, nonmonetary assets are translated using the historical rate at the time of the transaction.

(Module 10.3, LOS 10.e)

Question #92 of 126

Question ID: 1472540

Gortal Inc., a U.S. company has a wholly owned subsidiary, Fortina GmbH, based in Germany. The U.S. dollar has been appreciating relative to the Euro over the past year. The use of the temporal method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the fixed-asset turnover ratio (S/FA) relative to what the ratio would have been without the effects of translation assuming no new fixed assets were purchased throughout the year?

A) The ratio will be lower.



B) There will be no effect on the ratio.



C) The ratio will be higher.



Explanation

Since the dollar has appreciated, the local currency has depreciated, so each foreign currency unit bought more dollars in the past relative to the present. Fixed assets are remeasured at the historical rate and sales are remeasured at the average rate under the temporal method. Since the historical rate is buying more dollars relative to the average rate, the denominator is staying the same whereas the numerator is getting smaller. Thus, the ratio is lower.

(Module 10.6, LOS 10.f)

Question #93 of 126

Question ID: 1472530

At what exchange rate are revenues and accounts receivable translated under the current rate method?

<u>Revenues</u>	<u>Accounts</u>
	<u>receivable</u>

A) Average rate Historical rate



B) Average rate Current rate



**Explanation**

Under the current rate method, revenues are translated at the average rate; accounts receivable are translated at the current rate.

(Module 10.4, LOS 10.e)

Question #94 of 126

Question ID: 1472502

Which of the following statements regarding the translation of a foreign subsidiary into the reporting currency is *most* accurate?

- A) A multinational firm with small liability balances generally has minimal foreign currency exposure on its balance sheet. 
- B) If the functional currency is equal to the local currency, exchange gains and losses on translation will be recognized in the income statement. 
- C) If the reporting currency is the functional currency, the temporal method is applied and exposure is equal to net monetary assets. 

Explanation

The choice of functional currency is the determining factor as to which method of foreign currency translation is utilized. Therefore, when the reporting currency is the functional currency, the temporal method must be used. The choice of functional currency is largely left to management's discretion.

(Module 10.3, LOS 10.e)

South Seas Inc, a subsidiary of Seven Seas Inc., reported its most recent performance in its local currency (LC) which is the functional currency. The reporting currency of Seven Seas is the U.S. dollar (USD). South Seas also paid a dividend of 16,000LC at year end, at which time the exchange rate was 2 LC/USD. Last year, Seven Seas reported balance sheet retained earnings of 90,000 USD for its South Seas subsidiary.

Rates	LC/US\$
Current rate	2.00
Average rate	2.20
Historical rate for common stock	2.50

Historical rate for COGS	2.30
Historical rate for depreciation	2.10
Historical rate for ending inventory	2.30
Historical rate for fixed assets	2.10

	LC
Revenues	520,000
Cost of Goods Sold (COGS)	225,000
SG&A	100,000
Depreciation	80,000
Income Taxes	46,000
Net Income	69,000

The balance sheet for South Seas is given below.

	LC
Cash	25,000
Accounts Receivable	30,000
Inventory	35,000
Net Fixed Assets	500,000
Total Assets	590,000
Accounts Payable	20,000
Long term debt	100,000
Common Stock	250,000
Retained Earnings	220,000
Total Liabilities & Equity	590,000

Question #95 - 98 of 126

Question ID: 1472517

What is the amount of income Seven Seas should report from its South Seas subsidiary?

A) 34,500 USD.



B) 31,400 USD.



C) 27,600 USD.



Explanation

The current rate method is used when the Functional Currency is NOT the same as the Parent's Presentation (reporting) Currency. The temporal method is used when the Functional Currency = the Parent's Presentation Currency.

	LC	Conversion	USD	
Revenues	520,000	/2.20	236,364	average rate
COGS	225,000	/2.20	102,273	average rate
SG&A	100,000	/2.20	45,455	average rate
Depreciation	80,000	/2.20	36,364	average rate
Income Taxes	46,000	/2.20	20,909	average rate
Net Income	69,000		31,364	

(Module 10.4, LOS 10.d)

Question #96 - 98 of 126

Question ID: 1472518

The currency translation adjustment that results from the translation of South Sea's data is *closest* to?

A) Zero because there is no currency translation adjustment under the current rate method.



B) -3,300 USD.



C) 21,600 USD.



Explanation

	LC	Conversion	USD	
Cash	25,000	/2.00	12,500	current rate
Accounts Receivable	30,000	/2.00	15,000	current rate
Inventory	35,000	/2.00	17,500	current rate
Net Fixed Assets	500,000	/2.00	250,000	current rate
Total Assets	590,000		295,000	

Accounts Payable	20,000	/2.00	10,000	current rate
Long Term Debt	100,000	/2.00	50,000	current rate
Common Stock	250,000	/2.50	100,000	historical rate
Retained Earnings	220,000		113,364	Note 1
Translation Adjustment			21,636	plug
Total Liabilities & Equity	590,000		295,000	

Note 1: Ending RE = Beginning RE (given USD 90,000) + NI (calculated 31,364) – Div (16000/2 = 8000) = USD 113364

(Module 10.4, LOS 10.d)

Question #97 - 98 of 126

Question ID: 1472519

If the temporal method is used, the retaining earnings is *closest* to:

A) 21,600 USD.



B) 120,800 USD.



C) 90,000 USD.



Explanation

The retained earnings value is the plug figure. The value of total assets is \$280,813. Subtracting the accounts payable, long-term debt, and common stock from the total assets leaves \$120,813.

	LC	Conversion	USD	
Cash	25,000	/2.00	12,500	current rate
Accounts Receivable	30,000	/2.00	15,000	current rate
Inventory	35,000	/2.30	15,217	historical rate for inventory
Net Fixed Assets	500,000	/2.10	238,095	historical rate for fixed assets
Total Assets	590,000		280,813	
Accounts Payable	20,000	/2.00	10,000	current rate
Long Term Debt	100,000	/2.00	50,000	current rate

Common Stock	250,000	/2.50	100,000	historical rate
Retained Earnings	220,000		120,813	280,813 – 10,000 – 50,000 – 100,000
Total Liabilities & Equity	590,000		280,813	

(Module 10.4, LOS 10.d)

Question #98 - 98 of 126

Question ID: 1489316

If the functional currency is the USD, then the net income before a translation gain/loss is *closest* to:

A) 8,000 USD.



B) 4,700 USD.



C) 34,100 USD.



Explanation

Adjust the income statement by the appropriate rates. For COGS and depreciation, historical rates were given. Average rate is used for all others.

	LC	Conversion	USD	
Revenues	520,000	/2.20	236,364	average rate
COGS	225,000	/2.30	97,826	historical rate for COGS
SG&A	100,000	/2.20	45,455	average rate
Depreciation	80,000	/2.10	38,095	historical rate for depreciation
Income Taxes	46,000	/2.20	20,909	average rate
Net Income Before Translation Gain/Loss	69,000		34,079	

(Module 10.4, LOS 10.d)

Global International Corp. (GIC) has three subsidiaries: GIC Europe whose local currency is the euro and whose functional currency is the euro; GIC China whose local currency is the yuan and whose functional currency is the Hong Kong dollar; and GIC Bahamas whose local currency is the Bahamian dollar and whose functional currency is the U.S. dollar. GIC's reporting currency is the U.S. dollar. Which conversion methods should be used by GIC for each of its subsidiaries?

A) The financial data for all three subsidiaries should be remeasured under the temporal method. 

GIC Europe's data should be remeasured under the temporal method; GIC China's data should be remeasured under the temporal method into Hong Kong

B) dollars, and then translated under the current rate method into U.S. dollars; 
and GIC Bahamas' data should be translated under the current rate method into U.S. dollars.

GIC Europe's data should be translated under the current rate method; GIC China's data should be remeasured under the temporal method into Hong Kong

C) dollars, and then translated under the current rate method into U.S. dollars; 
and GIC Bahamas' data should be remeasured under the temporal method into U.S. dollars.

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

GIC Europe's data should be translated under the current rate method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be remeasured under the temporal method into U.S. dollars.

(Module 10.4, LOS 10.e)

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan. Kasamatsu manufactures a hugely successful line of trading cards, toys, and related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in yen/\$.

Yen/Dollar Exchange Rate	
December 31, 2013	150
December 31, 2012	130
2013 Average	140
2012 Average	120
Exchange rate on date that 2013 dividends were declared by Kasamatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Shelly Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, Jameson believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however, wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2013		
(in thousands of yen)		
Statement of Income and Retained Earnings		
Sales		700,000
Expenses		
	Cost of Goods Sold (COGS)	280,000
	Depreciation	126,000
	SG&A	<u>77,000</u>
	Total Expenses	483,000
Earnings Before Taxes (EBT)		217,000

Income Tax Expense	<u>98,000</u>
Net Income	119,000
Retained Earnings: December 31, 2012	<u>250,000</u>
	369,000
Dividends	<u>58,000</u>
Retained Earnings: December 31, 2013 *	311,000
* Retained earnings on 12/31/2013 were US \$2 million	

Balance Sheet		
Assets		
	Cash and receivables	60,000
	Inventory	180,000
	Land	200,000
	Fixed assets	<u>346,000</u>
	Total assets	786,000
Liabilities and stockholders' equity		
	Liabilities	300,000
	Capital stock	175,000
	Retained earnings	<u>311,000</u>
	Total liabilities and stockholders' equity	786,000

Question #100 - 103 of 126

Question ID: 1472522

Jameson would like to examine WB's group accounts. What is the *most appropriate* exchange rate (yen/\$) to use in translating Kasamatsu's reported dividends into U.S. dollars?

A) 150.



B) 140.



C) 145.



Explanation

Dividends are translated at the exchange rate that existed on the dividend declaration date.

(Module 10.4, LOS 10.d)

Question #101 - 103 of 126

Question ID: 1472523

If Jameson wishes to convert any of the figures on Kasamatsu's Income Statement from yen to dollars, she should *most appropriately* use which of the following exchange rates (yen/\$)?

- A) 140. 
- B) 145. 
- C) 150. 

Explanation

Under the current rate method, all items in the income statement would be translated at the average rate or 140JPY/USD. Because this question is asking only for translating sales, the average rate would be used even under the temporal method.

(Module 10.4, LOS 10.d)

Question #102 - 103 of 126

Question ID: 1472524

Jameson has finally completed translating all the necessary figures into dollars and now wants to compute by how much WB's reported sales in dollars will change due to Kasamatsu's sales. Which of the following is *closest* to the amount of sales that WB will report as a result of Kasamatsu's operations (in thousands of dollars)?

- A) \$4,828. 
- B) \$5,000. 
- C) \$4,667. 

Explanation

The current rate method is used when the Functional Currency is NOT the same as the Parent's Presentation (reporting) Currency. The basis for using the temporal method is when the Functional Currency = the Parent's Presentation Currency.

Because sales as a financial item is on the income statement, the 2013 average exchange rate of 140 JPY/USD must be used to calculate sales in the reporting currency. Kasamatsu's sales were JPY 700,000. The calculation is:

$$\frac{700,000\text{¥}}{140\text{¥}/\$} = \$5,000$$

WB will report \$5,000 of sales as a result of Kasamatsu's operations.

(Module 10.4, LOS 10.d)

Question #103 - 103 of 126

Question ID: 1472525

Before Jameson can perform any financial statement analysis, she wants to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* accurate translation method and reasoning? WB should translate Kasamatsu's earnings using the:

- A) current rate method because the local currency is the USD. 
- B) temporal method because the local currency differs from the functional currency. 
- C) current rate method because the functional currency is the yen. 

Explanation

The current rate method is used when the functional currency is NOT the same as parent's presentation (reporting) currency. The temporal method is used when Functional Currency = Parent's Presentation Currency.

Under US GAAP the current rate method must be used to translate Kasamatsu's yen financial statements into USD, the reporting currency. Had Kasamatsu been operating in a highly inflationary environment or had the local and functional currency not been the same, then WB would be required to use the temporal method.

(Module 10.4, LOS 10.d)

Question #104 of 126

Question ID: 1472557

Which of the following subsidiary ratios will be affected by the translation adjustment under the current rate method?

A) Net profit margin.



B) Gross margin.



C) Return on equity.



Explanation

The translation adjustment will affect the book value of equity and therefore the return on equity ratio. The other ratios are pure ratios (both component of the ratio come from the income statement) and are not affected by translation.

(Module 10.6, LOS 10.f)

Geocorp is a global corporation with operations in North America, Asia, and Europe. Its primary business is marketing industrial machinery for the construction industry. Geocorp has regional headquarters located in New York, Tokyo, and Paris. All North American and U.S. operations report to its regional and world headquarters located in New York, while all Asian operations report to Tokyo, and all European operations report to Paris.

The following information is relevant to Geocorp's subsidiaries:

- Geocorp has a Canadian subsidiary that reports its results in Canadian dollars (CAD). The CAD is the functional currency.
- All domestic U.S. operations report their results in U.S. dollars (USD).
- Consolidated financial statements are reported in USD.
- Geocorp's Asian operations report their results in Japanese yen (JPY). The JPY is the functional currency.
- Geocorp's European headquarters (in Paris) operations report their results in euros (EUR). The EUR is the functional currency.
- Geocorp has a British subsidiary that reports its results in British pounds (GBP). The USD is the functional currency.

The following table is a summary of selected financial results from Geocorp's foreign operations:

All values are in millions	CAD	JPY	GBP	EUR
Revenues	50	5,000	150	700
Cost of goods sold (COGS)	20	2,700	100	480
Gross profit	30	2,300	50	220

Selling, general & administrative (SGA) expenses	18	1,000	29	200
EBIT	12	1,300	21	10
Cash	35	4,200	102	400
Accounts receivable	12	1,400	45	170
Inventory	20	3,900	123	300
Fixed assets	62	7,680	370	450
Accounts payable	27	3,300	68	350
Long-term debt	0	8,450	320	550
Common stock	10	2,000	50	350

The following exchange rates apply (USD per foreign currency unit):

Currency	Historical Rate	Average Rate	December 31, 20X2
CAD	USD 0.7013	USD 0.6803	USD 0.6592
JPY	USD 0.0094	USD 0.0088	USD 0.0082
EUR	USD 0.9801	USD 1.0318	USD 1.0834
GBP	USD 1.4803	USD 1.5506	USD 1.6209

Question #105 - 108 of 126

Question ID: 1586128

With respect to the Canadian subsidiary, what method should be used to value its revenues, what is the appropriate exchange rate, and what is the translated value (in USD)?

- A) Temporal method, average rate, USD 34.0 million.
- B) Current method, current rate, USD 33.0 million.
- C) Current method, average rate, USD 34.0 million.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Self-contained, independent subsidiaries reporting their results in the local currency that is also the functional currency use the current method. Revenues under the current method are translated using the average rate. Hence, $50 \times 0.6803 = \text{USD } 34.0 \text{ million}$.

(Module 10.6, LOS 10.f)

Question #106 - 108 of 126

Question ID: 1586129

With respect to the Japanese subsidiary, what method should be used to value its accounts receivable, what is the appropriate exchange rate, and what is the translated value (in USD)?

- A) Temporal method, current rate, USD 11.5 million.
- B) Current method, current rate, USD 11.5 million.
- C) Current method, average rate, USD 12.3 million.



Explanation

Self-contained, independent subsidiaries reporting their results in the local currency that is also the functional currency use the current method. Assets under the current method are translated using the current rate. Hence, $1400 \times 0.0082 = \text{USD } 11.5 \text{ million}$.

(Module 10.4, LOS 10.e)

Question #107 - 108 of 126

Question ID: 1586130

With respect to the European HQ subsidiary, what method should be used to value its SG&A expenses, what is the appropriate exchange rate, and what is the translated value (USD)?

- A) Current method, current rate, USD 216.7 million.
- B) Temporal method, average rate, USD 206.4 million.
- C) Current method, average rate, USD 206.4 million.



Explanation

Self-contained, independent subsidiaries reporting their results in the local currency that is also the functional currency use the current method. Expenses under the current method are translated using the average rate. Hence, $200 \times 1.0318 = \text{USD } 206.4 \text{ million}$.

(Module 10.4, LOS 10.e)

Question #108 - 108 of 126

Question ID: 1586131

With respect to the British subsidiary, what method should be used to value its fixed assets, what is the appropriate exchange rate, and what is the translated value (USD)?

- A)** Temporal method, historical rate, USD 547.7 million.
- B)** Current method, historical rate, USD 547.7 million.
- C)** Current method, current rate, USD 599.7 million.

**Explanation**

Subsidiaries reporting their results in the local currency that is NOT the functional currency use the temporal method. Fixed assets under the temporal method are translated using the historical rate. Hence, $370 \times 1.4803 = \text{USD } 547.7 \text{ million}$.

(Module 10.4, LOS 10.e)

Neptune Corporation (Neptune) is a U.S. company located in Detroit, Michigan. Neptune supplies exhaust emission systems to manufacturers of passenger cars and light duty trucks. In January 2006, Neptune formed a wholly owned subsidiary, Continental Systems GmbH (Continental), to supply automotive manufacturers located throughout Europe. Continental is located in Stuttgart, Germany.

Neptune reports its consolidated financial statements in U.S. dollars. The euro has been consistently appreciating against the dollar.

Continental accounts for its inventory using the first-in, first-out (FIFO) cost flow assumption. Fixed assets consist of machinery, tools, and equipment.

Continental has net monetary assets.

Question #109 - 112 of 126

Question ID: 1586093

Assuming the current rate method is used to translate Continental's financial statements, as compared to the local currency ratios, which of the following statements about translated operating profit margin and long-term debt to equity ratios is correct?

- A)** Long-term debt-to-equity ratio will be higher.
- B)** Operating profit margin will be higher.
- C)** Neither ratio will change.



Explanation

Under the current rate method, all revenues and all expenses are translated at the average rate. Consequently, the subtotals (gross profit, operating profit, and net profit) are translated at the average rate. Translating the numerator (operating profit) and the denominator (sales) at the same rate will have no impact on the ratio.

Under the current rate method, all assets and all liabilities are translated at the current rate. In order for the balance sheet equation to balance, total shareholders' equity must also be translated at the current rate. Translating the numerator (long-term debt) and the denominator (shareholders' equity) at the same rate will have no impact on the ratio.

(Module 10.4, LOS 10.e)

Question #110 - 112 of 126

Question ID: 1586094

When stated in U.S. dollars, would Continental *most likely* report a higher fixed asset turnover ratio and a higher quick ratio under the temporal method, as compared to the current rate method?

- A) Both ratios will be higher under the temporal method. 
- B) Only fixed asset turnover will be higher under the temporal method. 
- C) Only the quick ratio will be higher under the temporal method. 

Explanation

Continental would report a higher fixed asset turnover ratio (sales/fixed assets) under the temporal method because sales are translated at the same rate under both methods (the average rate), but fixed assets would be translated at the lower historical rate (because the euro is appreciating) under the temporal method. Therefore, the ratio will be higher.

Continental would not report a higher quick ratio under the temporal method. Actually, the quick ratio would be the same under both methods. Continental's quick assets include cash and accounts receivable. Quick assets and current liabilities are converted at the current rate under both methods.

(Module 10.4, LOS 10.e)

Question #111 - 112 of 126

Question ID: 1586095

Which of the following statements about the temporal method and the current rate method is *least* accurate?

- A) Net income is generally more volatile under the temporal method than under the current rate method. 
- B) Subsidiaries whose operations are well integrated with the parent will generally use the current rate method. 
- C) Subsidiaries that operate in highly inflationary environments will generally use the temporal method under U.S. GAAP. 

Explanation

Subsidiaries whose operations are well integrated with the parent will generally use the parent's currency as the functional currency. Remeasurement from the local currency to the functional currency is done with the temporal method.

(Module 10.4, LOS 10.e)

Question #112 - 112 of 126

Question ID: 1586096

As compared to local currency ratios, which of the following are the *most likely* impacts on gross profit margin and net profit margin, assuming the temporal method is used to remeasure Continental's financial statements?

- A) Both will be higher. 
- B) Higher net income, with a higher funded status. 
- C) Only net profit margin will be higher. 

Explanation

Under the temporal method, sales are remeasured at the average rate, and cost of goods sold is remeasured at the historical rate. Since the euro is appreciating relative to the dollar, sales will be higher when stated in dollars. Because cost of goods sold is remeasured at the historical rate, it does not reflect the appreciating euro. Therefore, appreciating sales, without a corresponding increase in cost of goods sold, will result in higher gross profit margin.

Under the temporal method, exposure is defined as the firm's net monetary asset or net monetary liability position. Continental is holding net monetary assets (monetary assets exceed monetary liabilities), and the position is increasing. Holding net monetary assets when the euro is appreciating will result in the recognition of a gain in the income statement. The gain results in higher net income and, thus, higher net profit margin.

(Module 10.4, LOS 10.e)

Question #113 of 126

Question ID: 1472550

The U.S. dollar has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the operating profit margin (EBIT/S) relative to what the ratio would have been without the effects of translation?

A) There will be no effect on the ratio.



B) The ratio will rise.



C) The ratio will fall.



Explanation

Under the current rate method, the average rate is applied to all income statement accounts. Hence, since the average rate is applied to both numerator and denominator of the equation and the ratio will not change.

(Module 10.6, LOS 10.f)

Question #114 of 126

Question ID: 1472496

A U.S. firm owns a foreign subsidiary in France. In 2002, sales were EUR 1,000,000 and the USD/EUR exchange rate was 1.0620. In 2003, sales were EUR 1,100,000 and the exchange rate was 1.1417. What is the impact of the change in the value of the USD on the parent company's translated sales?

A) Sales will decrease by 7.5%.



B) Sales will increase by 7.5%.



C) Sales will increase by 18.25%.



Explanation

The increase in sales due to the appreciating EUR is measured as 7.5% $[= (1.1417 / 1.0620) - 1]$. Sales for the subsidiary rose 10% $[= (1,100,000 / 1,000,000) - 1]$ in the local currency (EUR). After translation the parent firm will report sales of USD 1,062,000 $(= \text{EUR } 1,000,000 \times 1.0620)$ for 2002 and USD 1,255,870 $(= \text{EUR } 1,100,000 \times 1.1417)$ for 2003.

Growth measured from the parent's perspective suggests sales rose 18.25% $[= (1,255,870 / 1,062,000) - 1]$, but this includes the growth rate in sales measured in the local currency *and* the rate of appreciation in the foreign currency, or $(1.10 \times 1.075) - 1 = 0.1825$. The question only asks for the impact of the change in the value of the USD.

(Module 10.2, LOS 10.c)

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of accounts receivable and inventory respectively are:

- A)** \$1,845 and \$2,401.
- B)** \$1,801 and \$2,401.
- C)** \$1,845 and \$2,460.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the SF is the functional currency, then the current rate method is employed to translate the SF amounts into USD. Hence, $A/R = 0.615 \times 3,000 = \$1,845$ and $0.615 \times 4,000 = \$2,460$.

(Module 10.6, LOS 10.f)

Question #116 of 126

Question ID: 1472487

The local currency is:

- A) translated into the functional currency under the current rate method. 
- B) the preferred functional currency for subsidiaries that are highly integrated with the parent. 
- C) the same as the functional currency under the current rate method. 

Explanation

The local currency is best described as the currency of the country in which the foreign subsidiary is located. If a subsidiary is highly integrated with its parent or operating in a high-inflation environment, the functional currency is the parent's currency. Local currencies are remeasured under the temporal method.

(Module 10.1, LOS 10.a)

Question #117 of 126

Question ID: 1477070

Which of the following ratios is unaffected by the choice between the current rate method and the temporal method?

- A) Inventory turnover. 
- B) Current ratio. 
- C) Quick ratio. 

Explanation

All of the components of the quick ratio (cash and cash equivalents, accounts receivable, and accounts payable) are converted at the same rate under both methods so the ratio is unaffected by the method. The current ratio is the same as the quick ratio except it also contains inventory which is translated at the historical rate with the temporal method and at the current rate with the current rate method. Inventory turnover ratio and current ratio both would be similarly affected as they rely on the value of inventory.

(Module 10.6, LOS 10.f)

Question #118 of 126

Question ID: 1472551

Which of the following statements regarding the effects of translation on financial statement items/ratios is *most* accurate?

- A) Fixed assets are relatively overstated under the temporal method compared to the local currency if the local currency has appreciated. 
- B) Leverage is higher under the current rate method as compared to under the local currency. 
- C) Depreciation in the reporting currency under the current rate method is higher than under the temporal method if the local currency has appreciated. 

Explanation

Fixed assets are relatively understated under the temporal method if the local currency appreciates as they are translated at the weaker historic rate. The leverage ratio will be unaltered under the current rate method as it is a pure balance sheet ratio and hence all translated at the current rate.

(Module 10.6, LOS 10.f)

Question #119 of 126

Question ID: 1472571

Which translation method should be used under a hyperinflationary economy when using U.S. GAAP?

- A) Monetary/non-monetary, because all monetary accounts are translated at the historical rate. 
- B) All-current, because dividends are translated at the rate that applied when they were issued. 
- C) Temporal, because all non-monetary accounts are re-measured at the historical rate. 

Explanation

The temporal method is more appropriate because all non-monetary accounts are remeasured at the historical rate. Under IFRS, the financials would be restated for inflation, and then translated under the current rate method.

(Module 10.7, LOS 10.g)

Question #120 of 126

Question ID: 1472506

Under the current rate method, common stock is translated by using the:

- A) rate that existed when the equity was issued. 

B) exchange rate as of the balance sheet date.



C) present value of weighted average rate.



Explanation

The historical rate is used.

(Module 10.3, LOS 10.e)

Question #121 of 126

Question ID: 1472573

Organic growth in sales is *most* accurately defined as growth in sales excluding the effects of:

A) currency value fluctuations.



B) acquisitions/divestitures only.



C) acquisitions/divestitures and currency value fluctuations.



Explanation

Organic growth in sales is defined as growth in sales excluding the effects of acquisitions/divestitures and currency effects.

(Module 10.8, LOS 10.i)

Question #122 of 126

Question ID: 1472568

In reality, what *best* describes the real value of non-monetary assets and liabilities in a hyperinflationary environment?

A) Typically not affected because their local currency-denominated values decrease to offset the impact of inflation.



B) Typically not affected because their local currency-denominated values increase to offset the impact of inflation.



C) All non-monetary accounts are re-measured at the current rate.



Explanation

Typically not affected because their local currency-denominated values increase to offset the impact of inflation (i.e., real estate values typically rise with inflation).

(Module 10.7, LOS 10.g)

Question #123 of 126

Question ID: 1586081

Which of the following statements regarding the functional currency under US GAAP is *least* accurate?

- A) The functional currency is defined as the primary currency of the economic environment in which the parent firm operates. 
- B) Self-contained, independent subsidiaries whose operations are primarily located in the local market will use the local currency as the functional currency. 
- C) If a firm operates in a country or environment which is subject to cumulative inflation of 100% or more over a three year period, that firm will use the parent's currency as the functional currency. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The functional currency is defined as the primary currency of the economic environment in which the *foreign subsidiary* operates.

(Module 10.3, LOS 10.e)

Question #124 of 126

Question ID: 1472505

Which of the following general statements is *CORRECT* with respect to the temporal method? Revenues and operating expenses (excluding COGS) are translated at the:

- A) historical rate. 
- B) average rate. 
- C) current rate. 

Explanation

As a general rule for the temporal method, all revenues and operating expenses (excluding COGS) are translated using the average rate.

(Module 10.3, LOS 10.e)

Question #125 of 126

Question ID: 1472500

Which of the following situations does *NOT* require the use of the temporal method? The:

- A) foreign subsidiary is operating in a highly inflationary economy. 
- B) local currency is the functional currency. 
- C) functional currency is some currency other than the local currency or the U.S. dollar. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The temporal method is not required in the situation when the local currency is the functional currency.

(Module 10.3, LOS 10.e)

Question #126 of 126

Question ID: 1472489

Which of the following statements regarding the functional currency is *least* accurate? The functional currency:

- A) is remeasured into the reporting currency under the temporal method. 
- B) is the currency of the primary economic environment in which the foreign subsidiary generates and expends cash. 
- C) is determined by management. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The local currency is remeasured into the functional currency under the temporal method. The functional currency is translated into the reporting currency using the current rate method.

(Module 10.1, LOS 10.a)